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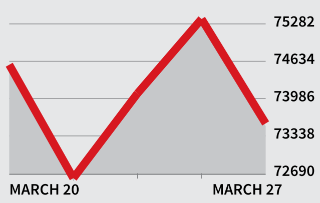

IN FOCUS

	Week's close	Week's change
Nifty 50	22819.60	-294.90
P/E Ratio (Sensex)	20.22	-0.24
US Dollar (in ₹)	94.81	+1.10
Gold Std 10 gm (in ₹)	142370.00	-4258
Silver 1 kg (in ₹)	221647.00	-10717

CURRENT ACCOUNT. **Atanu Chakraborty's exit** from HDFC Bank flagged ethical concerns, raising investor fears and governance issues **p9**

MEGA DEAL. **Blackstone-backed** EPL merges with Indovida to form packaging firm valued at $2 billion **p10**

BENGALURU - CHENNAI - COIMBATORE - HUBBALLI - HYDERABAD - KOCHI - KOLKATA - MADURAI - MALAPPURAM - MANGALURU - MUMBAI - NOIDA - THIRUVANANTHAPURAM - TIRUCHIRAPALLI - VIJAYAWADA - VISAKHAPATNAM

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India bats to shield WTO's core mandates at Yaoundé meet

POWERPLAY. Stalls China-led investment pact but under pressure over e-comm tax moratorium

Amiti Sen
New Delhi

India successfully stalled the China-led investment facilitation for development (IFD) agreement at the WTO's 14th Ministerial Conference (MC14) at Yaoundé, Cameroon, but found itself on the defensive as negotiations over the e-commerce tax moratorium went down to the wire on Sunday, the last day of the prolonged meeting.

New Delhi held its ground on the IFD pact, endorsed by 128 members, despite being isolated after fellow opponents South Africa and Türkiye withdrew their objections. Standing as the sole dissenter among 166 members, India argued that incorporating the plurilateral deal would bypass the "consensus" rule and set a dangerous precedent for non-mandated issues to eclipse core mandated priorities such as food security.

However, in the negotiations on e-commerce moratorium, the US demand for a permanent moratorium weighed heavily on India, which had called for a "careful reconsideration" of the moratorium itself to preserve revenue and policy space.

BRAINSTORMING. Delegates at the World Trade Organisation's 14th ministerial meeting in Yaoundé, Cameroon REUTERS

Sources said that there was great pressure on India to accept a four-five year moratorium this time, instead of the usual two-year one that has been the norm since 1998. Also important for India is the parallel extension of the moratorium on TRIPS non-violation complaints (NVC), a mechanism that developing nations use to shield domestic policies from legal challenges.

FOCUS ON CONSENSUS

Amid talks at the WTO on the need for a new architecture for better results, India continued to stress on the need for consensus. In his talks with WTO Director General Ngozi Okonjo-Iweala on Sunday, Commerce & Industry Minister Piyush Goyal acknowledged her continued efforts in building consensus for a successful MC14.

"Emphasised the importance of a balanced and responsive WTO that effectively addresses the needs and aspirations of all members, particularly developing countries and LDCs," Goyal said in a post on `X'.

On Sunday, India, Oman, and South Africa submitted a draft declaration on WTO reforms, emphasising special and differential treatment (S&DT) for developing countries and the need to uphold past mandates. This stands in direct contrast to the US agenda, which has increasingly questioned consensus-based decision-making in favour of plurilateral tracks and new issues. Washington has also intensified calls for objective criteria for "developing country" status, arguing that major emerging economies should no longer benefit from preferential treatment.

FOOD SECURITY

On agriculture, India stressed that permanent solution on public stockholding for food security purposes, special safeguard mechanism, and cotton are long-pending mandated issues, which needed to be addressed on priority basis.

India also underscored that the challenge of overcapacity and overfishing arises from heavily subsidised industrial fleets, and not from small-scale fishermen in India and other developing countries & LDCs. It made a strong case in the WTO forum for ensuring that emerging decisions remain fair and do not disproportionately impact vulnerable communities, per a government statement.

Also read p3

Remittances to moderate in near term: FinMin report

Shishir Sinha
New Delhi

With no sign of the war in West Asia abating, a Finance Ministry report expects remittances to moderate in the near term. The report also highlighted some upside risks to inflation.

According to the latest edition of the Monthly Economic Review, prepared by the Economic Affairs Department of the Finance Ministry, remittance inflows remained robust, with personal transfer receipts rising to $36.9 billion in Q3 (October-December) of FY26, compared with $35.1 billion in the same period of FY25.

CRUDE IMPACT

However, the outlook for remittances remains sensitive to crude oil price movements. "Given that Gulf Co-operation Council (GCC) economies accounted for about 38 per cent of India's total remittances in 2023-24 and host nearly half of Indian migrants worldwide, any sustained rise in crude oil prices could weigh on fiscal conditions in these economies and, in turn, moderate remittance growth in the near term," it said.

Read more on p3

RBI cap to force banks to unwind long $ bets; ₹ may surge by 100 paise

Our Bureau
Mumbai

UNDER PRESSURE. Experts say large private and some foreign banks may feel the heat as their trading desks arbitrage between domestic and non-deliverable forward markets REUTERS

Banks will be forced to unwind their long dollar positions in the domestic forex market following a late-Friday directive from the Reserve Bank of India (RBI), a move that could push the rupee up by as much as 100 paise against the US dollar when markets open on Monday.

The RBI's March 27 directive mandates that authorised dealers keep their net open position in Indian rupee (NOP-INR) in the onshore deliverable market within $100 million at the end of each business day, effectively curbing large long-dollar bets that have been adding to pressure on the domestic currency.

STABILITY PUSH

The move comes after the rupee weakened around 4 per cent since the onset of the West Asia conflict on February 28, and is aimed at tempering volatility by reducing speculative positioning. This is the first such directive from the central bank in around 15 years.

K Arvind, Head – Treasury at Tamilnad Mercantile Bank, said banks' long dollar positions had been adding to demand for the US currency, and the RBI's cap would force them to pare these exposures. "Banks will have to exit long positions in the domestic deliverable market, which will also lead to a reduction in their short positions in the non-deliverable forward (NDF) market," he said, adding that the rupee could open nearly 100 paise stronger and settle below the 94/$ level on Monday.

FEELING THE HEAT?

Market experts say large banks, especially in the private sector, and some foreign banks could feel the heat of the RBI's latest move as they have trading desks to exclusively arbitrage between the domestic deliverable and NDF market. According to market estimates, the cumulative net overnight open position (NOOP) of these banks could be around $40 billion.

Since the net overnight open position limit (NOOPL) is set at 25 per cent (ceiling) of the total capital (Tier-I and Tier-II capital) of the authorised dealer, these banks could suffer losses as they not only have to unwind their positions in the domestic and NDF markets but also face the prospect of the RBI intervening in both the markets on Monday.

The RBI said authorised dealers have to ensure compliance with its directions on NOP-INR at the earliest but no later than April 10.

The rupee closed at a new low of 94.81 per dollar on Friday, down 84 paise against previous close of 93.97. The raging war in West Asia continues to have a deleterious effect on the rupee amid rising global crude oil prices, FPI-related outflows from the equity markets and a strengthening dollar.

TN polls: TVK's Vijay to make electoral debut from both Perambur, Tiruchi East

T E Raja Simhan
Chennai

Actor-turned-politician C Joseph Vijay is set for a high-profile electoral debut in the 2026 Tamil Nadu Assembly elections, contesting from two constituencies — Perambur and Tiruchirapalli East — signalling an aggressive push by his party, Tamilaga Vettri Kazhagam (TVK), to establish a state-wide presence.

In Perambur, Vijay will face DMK's sitting MLA RD Sekar while the Paatali Makkal Katchi, an ally of the AIADMK-led alliance is yet to announce its candidate. In Tiruchirapalli East, Vijay's opponent will be DMK's sitting MLA Inigo Irudayaraj.

Vijay's decision to contest from two seats underscores TVK's strategy to gain traction across both northern and central Tamil Nadu.

Speaking at the introduction of the candidates, Vijay reiterated that the electoral fight was between his "people's alliance TVK versus Stalin's alliance." He slammed the DMK-led alliance as a mere 'patch up' alliance.

"TVK's candidates are protectors of people. People may claim that our candidates are inexperienced, but they are from humble backgrounds," he added.

Banking on a strong youth following, he aims to disrupt the State's long-standing bi-polar political landscape dominated by the DMK and the AIADMK that have been ruling the State for over five decades.

KEY CONTESTS

Veteran leader KA Sengottaiyan, an eight-time MLA and former AIADMK minister, will contest from Gobichettipalayam after joining TVK. He faces AIADMK's VB Prabhu and DMK's N Nallasivam.

In T Nagar, TVK's Bussy Anand will take on AIADMK's Satyanarayanan and DMK's Raja Anbazhagan. Vijay's close associate Aadhav Arjuna will contest from Villivakkam, while Joint General Secretary C T R Nirmal Kumar has been fielded from Thirupparankundram.

In Thousand Lights, former AIADMK minister JCD Prabhakaran (now with TVK) will face AIADMK veteran P Valarmathi and DMK's Ezhilan Naganathan.

Releasing the party's election manifesto, Vijay focussed on the youngsters — who will form a major part of his voters — announced a monthly allowance of ₹4,000 to unemployed graduates and ₹2,000 for unemployed diploma holders. He also promised collateral-free loan guarantee up to ₹20 lakh from Class 12 to PhD.

"This is a guarantee for the youngsters," he added. With candidates announced across all 234 constituencies, TVK has positioned itself as a serious challenger, setting the stage for several high-voltage, multi-cornered contests and potentially reshaping Tamil Nadu's electoral dynamics in 2026.

Vijay's double contest

PERAMBUR		TIRUCHIRAPALLI EAST	
DMK: RD Sekar	NTK: Vetri Tamizhan	DMK: Inigo Irudayaraj	AIADMK: Rajasekaran
TVK: Joseph Vijay	PMK: Not announced*	NTK: Krishnasamy	TVK: Joseph Vijay

*Till time of going to press

DMK promises ₹8,000 worth coupons for women to buy household items

MK Stalin, CM and DMK President, with Kanimozhi Karunanidhi, MP, and Head, Assembly Election Manifesto Committee, releasing the party's manifesto in Chennai BIJOY GHOSH

Our Bureau
Chennai

The ruling Dravida Munnetra Kazhagam (DMK) on Sunday released its manifesto reiterating its emphasis on what it called 'economic multipliers' by using welfare spends to boost local economy.

A key promise, in keeping with its welfare support route, is a unique scheme that supports women to buy household appliances or other they would need.

Under the new 'Illathu Arasi' scheme, ₹8,000 worth coupons will be provided to women specifically towards buying a washing machine, grinder, TV, microwave and other such household items. "All women who don't pay tax will get it. They can buy it from their neighbourhood shop," the CM said as he announced the manifesto in an event here on Sunday.

Speaking to mediapersons subsequently, the CM said over 2 crore women would benefit under this new scheme.

"Tamil Nadu is a leading State under the Dravidian model of governance, with several welfare schemes benefiting the public. DMK will form the government for the seventh time with continued public support. No other State has implemented welfare schemes as successfully as us," the CM said in his speech.

Women continued to be at the centre of the DMK's election promises with the monthly entitlement scheme -Kalaignar Magalir Urumai Thogai- that currently benefits over 1.31 crore women with ₹1,000, promised to be doubled to ₹2,000. Similarly, pension will be increased to ₹2,000 a month for senior citizens, widows and spinsters above the age of 50

BREAKFAST SCHEME

In education, the Chief Minister's breakfast scheme will be expanded up to Class 8, benefiting around 15 lakh students. Financial assistance for college students under the "Pudhumai Penn" and "Tamil Pudhalvan" schemes will be increased from ₹1,000 to ₹1,500 per month.

On the industrial development front, the DMK promised to bring in foreign investment of ₹18 lakh crore with 50 lakh jobs to be created over five years. It also promised 35 lakh free laptops to all college students. Free modern electric pump sets for 20 lakh farmers without any meters, 10 lakh new concrete houses under Kalaignarin Kanavu Illam and a ₹10,000 crore allocation for rural roads.

"Four future-ready global cities will come up around Coimbatore, Salem, Madurai, and Tiruchirapalli; 50 Semmozhi Poonga's will be constructed across Tamil Nadu," the CM said.

India opposes China-backed investment pact at WTO MC14

FIRM STAND. Minister Goyal says agreement risks eroding WTO's foundational principles

Amiti Sen
New Delhi

FOR THE NATION. Union Minister Piyush Goyal at the World Trade Organisation's 14th Ministerial Conference

Standing firm against global pressure, India has blocked the China-led Investment Facilitation for Development (IFD) agreement from entering the WTO's legal framework at the 14th Ministerial Conference (MC14) in Yaoundé.

New Delhi argued that the pact undermines the multilateral body's foundational principles and oversteps its functional mandate.

'SHOW OF COURAGE'

"At WTOMC14, drawing inspiration from Mahatma Gandhiji's philosophy of truth prevailing over conformity, India showed the courage to stand alone on the contentious issue of the IFD agreement and did not agree to its incorporation into the WTO framework as an Annex 4 Agreement," Commerce & Industry Minister Piyush Goel said on 'X' late on Saturday.

The IFD, supported by 128 WTO members, seeks to streamline FDI through increased transparency and procedural efficiency. However, India maintains that the WTO lacks a mandate for investment issues. New Delhi warns that incorporating non-consensus agreements sets a dangerous precedent, potentially sidelining critical, long-pending mandates like food security and public stockholding.

"Incorporation of the IFD agreement risks eroding the functional limits of the WTO and undermining its foundational principles. As part of WTO reform discussions, members are discussing guardrails and legal safeguards for plurilaterals before the integration of any specific plurilateral outcome. In view of the systemic issue at hand, India showed openness to have good faith, comprehensive discussions and constructive engagement under the WTO reform agenda," Goyal said.

India's continued opposition to the attempt at discarding foundational rules of the WTO by formalising the IFD agreement, which is a plurilateral pact not endorsed by the entire WTO membership, is especially remarkable as two powerful fellow opponents, South Africa and Turkiye, withdrew their objection to it.

At the WTO MC11 in Buenos Aires in 2017, some members began pushing new rules on areas such as e-commerce, investment, and MSMEs through "Joint Statement Initiatives" — plurilateral tracks that bypass traditional consensus. India, South Africa, and Türkiye had been arguing that JSIs lack legal standing under the WTO's founding Marrakesh Agreement.

'Elevated crude prices may hit remittances, stoke inflation'

Shishir Sinha
New Delhi

With no sign of the war in West Asia ending soon, a Finance Ministry report expects remittances to moderate in the near term. It also highlighted some upside risks to inflation.

As per the latest edition of the Monthly Economic Review, prepared by the Economic Affairs Department, remittance inflows remained robust, with personal transfer receipts rising to $36.9 billion in Q3 FY26, compared with $35.1 billion a year ago. However, the outlook for remittances remains sensitive to crude oil price movements.

"Given that GCC economies accounted for about 38 per cent of India's total remittances in 2023-24 and host nearly half of Indian migrants worldwide, any sustained rise in crude oil prices could weigh on fiscal conditions in these economies and, in turn, moderate remittance growth in the near term," it said. Data from the External Affairs Ministry showed that an estimated 9.2 million Indians live in West Asia, with the largest concentration in the UAE (close to 4million).

As per RBI estimates, at least 35 per cent of India's annual remittances originate from West Asia. "This implies that India's exposure to remittances from the region is around $40 billion annually. These factors, alongside portfolio capital outflows, have contributed to depreciation pressures on the rupee, necessitating calibrated policy responses," it said.

TILT TRADE BALANCE

Apart from remittances, higher petroleum import bills, along with increased logistics costs and reduced exports to the West Asia, could exert pressure on the current account. Elevated crude oil prices also pose risks to merchandise trade balance, the report added.

Meanwhile, the report also highlighted upside risks to March print, even as the present agricultural supply conditions remain favourable.

"The oil price shock poses an unexpected upside risk for inflation in the medium term. Supply disruptions and higher input costs are being transmitted to domestic prices, particularly in fuel-intensive sectors," the report said. At the same time, selective price corrections in perishables — due to export disruptions — reflect localised demand-supply imbalances. If oil and gas prices remain high, they may spill over into other sectors through higher input prices. However, "the government is monitoring the situation and has been taking several measures to ensure domestic energy availability and cushion any adverse effects," it said.

Retail inflation based on consumer price index rose to 3.21 per cent in February against 2.74 per cent of January mainly on account of higher food prices.

Vedanta's Agarwal calls for consistency in JP Associates resolution

Our Bureau
Mumbai

Anil Agarwal, Chairman, Vedanta Group, has highlighted the importance of process certainty and consistency in the context of the ongoing resolution of Jaiprakash Associates under the Insolvency and Bankruptcy Code.

Vedanta, recently, moved the NCLAT against the NCLT's decision to hand over JP Associates to Adani Group.

In his first direct public comments on the matter, Agarwal in a post on 'X' said Vedanta participated in a transparent and competitive bidding process, where the company was formally communicated as the highest bidder. He indicated that subsequent changes to the outcome raise important questions around the sanctity and predictability of such processes.

"We have no attachment to this asset. If it comes, it is God's grace. If it goes, that is also his wish," said Agarwal.

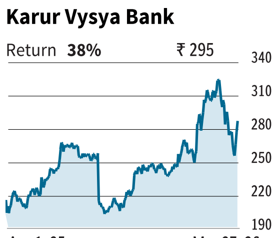
"Some years ago, Jaiprakash Gaur, who built Jaypee Group, came to meet me in London. He reached out more than once. His only wish was simple that what he had built should go into safe hands and be taken forward with the right intent," he said in the post.

The Chairman's remarks emphasised a broader expectation that processes conducted under the IBC framework maintain consistency, transparency and institutional credibility.

TODAY'S PICK.

Karur Vysya Bank (₹295.85): BUY

Akhil Nallamuthu
bl. research bureau



The stock of Karur Vysya Bank appreciated 12 per cent last week.

As it posted a notable gain, the chart shows that it has formed a bullish engulfing pattern on the weekly chart and the last week's rebound in price came on the back of a long-term trendline support.

Given these factors, the probability of the stock to have turned the trend bullish and witness further rally in the coming sessions is high.

Over the medium-term, the scrip can rise to ₹375.

That said, there might be a correction to ₹280 before the next leg of uptrend. So, buy now at ₹295 and accumulate at ₹280.

Place stop-loss at ₹250. When the stock rises to ₹330 and ₹350, tighten the stop-loss to ₹300 and ₹330 respectively. Exit at ₹375.

Note: The recommendations are based on technical analysis. There is a risk of loss in trading.

Economists divided over impact of excise revision on States

Shishir Sinha
New Delhi

The Centre's sharp reduction in special additional excise duty (SAED) on petrol and diesel has set off a fresh fiscal debate, with economists split on whether States stand to lose revenue from a shrinking tax base or gain from elevated crude prices that inflate VAT collections.

The total central excise duty for a litre of petrol, which stood at ₹21.90, has now been lowered to ₹11.90. Similarly, for diesel, it has been cut to ₹7.80 from ₹17.80.

On the other hand, States and Union Territories impose sales tax/VAT on an ad-valorem basis, ranging between 1 per cent and 35 per cent, along with some fixed levies and cess.

The Centre's revenue does not change with fluctuations in crude prices, but States/ UTs do gain on account of changes in crude prices.

Also, tax is calculated on base prices that comprise crude prices plus central levies. This raises the question of what impact the revision in SAEDwill have on States'/UTs' collections.

UNDER PRESSURE

Replying to that, DK Srivastava, Chief Policy Advisor at EY India, said assuming retail prices of petrol and diesel do not change, State VAT/sales tax collection may come under some pressure if availability of fuel or petroleum products reduces or if their supply is rationed.

> **The total central excise duty for a litre has been lowered to** ₹11.90 from ₹21.90 for petrol and to ₹7.80 from ₹17.80 on diesel

"Since the central excise duty has been reduced, the tax base on which State VAT/ sales tax is levied will also be correspondingly reduced and therefore State VAT/ sales tax revenue may fall at least to some extent," he said.

However, an SBI research report by Soumya Kanti Ghosh, presents a different view.

The report said States earned ₹3.02 lakh crore from sales tax/VAT on POL products in FY25 and, with an increase in crude prices, States are likely to earn higher VAT revenue from oil at unchanged VAT rates.

HIGHER VAT

"Even if we consider the FY26 oil consumption by States (estimated from FY25 share) and the new excise duty rates of the Centre, the States are expected to earn higher VAT by ₹25,000 crore, benefiting from the higher crude oil price, with Karnataka benefitting the most," the report said.

Further, in March 2026, the States had already benefitted by ₹2,500 crore incrementally owing to higher oil prices, with around ₹2,400 crore increase before the excise duty cut.

"This is definitely going to be higher once we consider the higher consumption of petrol and diesel by States," it said.

REVISING LEVIES

Now, the big question is whether States will revise levies. "States can act to cut VAT rates and pass on the benefit to consumers," Ghosh said.

"The GoI may also ask states to consider reducing their VAT/Sales tax rates. If this is done then state tax revenues will be adversely affected," he added.

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Commercial pitch

IPL goes global with PE/VC entry, amidst questions

T-20 cricket has always been about mega bucks. But as the 19th edition of the Indian Premier League gets underway it is clear that its financialisation has assumed global proportions. This could alter the manner in which IPL monies are invested and its returns split between various stakeholders. PE/VC funding could reshape the commerce of cricket — and maybe the game itself.

Even before the first ball was bowled, it was the sale of franchises Royal Challengers Bengaluru (RCB) and Rajasthan Royals (RR) at eye-popping valuations — $1.78 billion for RCB and $1.63 billion for RR — that made big news. RCB was acquired by a consortium led by Aditya Birla Group, the Times Group, Bolt Ventures and Blackstone. RR was bought by a consortium led by US based tech entrepreneur Kal Somani, backed by US business families including Walmart. The entry of Blackstone and Walmart signals IPL turning into a global sporting property. To be sure, it has some way to go before it can catch up with NFL, NBA and English Premier League. But these two deals could also pave the way for other IPL franchises attracting foreign money. According to analysts, every IPL franchise now is worth more than $1.5 billion. IPL's business value stands at $18.5 billion and its brand value is $3.9 billion, according to Houlihan and Lokey, an NYSE-listed global investment bank. IPL's massive viewership is obviously the prime attraction for global investors. The 2025 season attracted 251 million TV viewers on Star Sports and 1,370 million viewers on the opening weekend on JioHotstar. The 2025 final attracted 678 million viewers on JioHotstar, the official streaming platform.

However, there are some concerns nevertheless over how much more the financial model can be expanded. The IPL has four major streams of revenues — media rights, sponsorships, ticket sales and franchise fees. The revenue model of IPL leans heavily on broadcast rights. BCCI shares almost 60 per cent of broadcast revenues with franchises. Though broadcast rights over the years have gone for huge sums, this seems to have plateaued with only one player bidding for it —JioHotstar that now also owns Star Sports. Ticket prices cannot be raised beyond a point. That leaves sponsorship and selling ad spots as cash cows. But will longer ad spots increase match duration and impact fan experience?

Foreign investors betting on the expansion of IPL into more franchises and matches could run up against scheduling problems with the international cricketing calendar and availability of foreign players. Cricket is perhaps the only global sport that is played across four formats — Tests, ODIs, T20 and the Hundred. The franchise-based model exists only in T20 and the Hundred. The rest are country-based formats. It remains to be seen how the globalised model plays out. Questions about what it does to the game *per se*, as well as cricket's parity or lack of it, with other sports will remain.

FROM THE VIEWSROOM.

The smoke and heat of war

Alexander Sebastian

A climate cost analysis of just the first 14 days of the US-Israel war on Iran revealed that it had emitted over 5 million tonnes of greenhouse gases, draining the global carbon budget faster than 84 countries combined, reported *The Guardian*. Experts say the figures will be catastrophically higher by the time the war winds down.

Amid the economic disruption, it is not surprising that most of us don't see the war's impact on the environment. Reports of black rain and breathing problems in the region can easily get buried under volatile stock markets and supply chains.

The Climate and Community Institute, the same think-tank *The Guardian* quoted, says the US military and military manufacturing industries are among the biggest climate polluters in the world. The US military is also the world's largest institutional consumer of fossil fuels.

We live our lives trying to be diligent about our paper straws and public transport, carrying a sense of guilt that our petrol cars and plastic bags are harming the environment. We opt for the obviously overpriced 'environment-friendly' goods at the supermarket. Elsewhere, powerful nations with business interests and a 'saviour complex' bomb people they don't like, and set fire to oil wells. The bigger question is: Who pays the price for the power games of politicians?

The environmental cost of the West Asia war makes it everybody's business. We are all stakeholders. While we keenly watch the markets crash one day and crawl back up the next, what ought to be kept in mind is that all our investment plans only make sense in a world with breathable air, and an inhabitable climate. With the billions of tonnes of toxins released into the atmosphere as the war goes on, a dark cloud hangs over all of us.

LINE& LENGTH.

TCA SRINIVASA RAGHAVAN

This war will inflict severe economic pain

The government now needs to prepare the country for a period of erratic and limited supplies. Direct supply management poses an administrative challenge

It's now exactly 30 days since the US and Israel started the war against Iran. 30 because February has 28 days only and the fighting started on February 28.

Unless you are what's called 'hopelessly optimistic' or foolishly optimistic, you will concede that global output is not only about to shrink by a huge amount, perhaps a third or thereabouts. Germany thinks we are in for an 'economic catastrophe'.

Others may have a different estimate. But a massive shrinkage is around the corner. The only beneficiaries will be those who make and sell arms. But the expansion in their profits will not compensate for the losses of the rest.

This will not be the first time in human history for such a huge shrinkage. It's happened several times before. The last one was just five years ago after the Covid pandemic.

For the last 75 years various governments, whenever output has shrunk, have responded with Keynesian measures, spending more than they were earning as tax and other revenues. This has worked with varying degrees of success because the Keynesian solution assumes a deficiency in aggregate demand, not supply.

But this time it's the other way around. It's the supply that's going to be the problem. First of energy and then because of that, everything else. Unlike in the past, the problem can't be fixed by expanding central banks' balance sheets, that is, by massive government borrowing.

Specifically, no amount of deficit financing will restart the oil and gas wells in the Middle East for several years. They aren't like taps.

The US and Israel have thus kicked the global economy hard. For mind-boggling ineptitude this would be hard to beat.

WHAT IS TO BE DONE?

So what should governments do that will mitigate the impact of this kind of gigantic supply shock? One answer lies in ancient Indian and modern American history.

DD Kosambi, the great Marxist mathematician, pneumismatist and historian, wrote 70 years ago that by the end of 8th century Indian villages had become self-sufficient within small areas because trading with villages far away wasn't possible and thus limited supplies of many things. Those were the early trade groupings between villages in a 100-150 mile radius.

Rationing — limiting how much of something you can have — was imposed by the market itself because availability was both restricted and random. Consumption levels were very low anyway, so this sort of rationing didn't annoy the people.

Of course, energy supply wasn't the problem then because demand for it, unlike now, was entirely manageable. There was lots of wood available. This time it is not.

The shortages in energy and related supplies are going to cause a massive compression in global output. This has happened twice in the 20th century, that is, during the First and Second World Wars.

> **It's the supply that's going to** be the problem. It can't be fixed by expanding central banks' balance sheets. Specifically, no amount of deficit financing will restart the oil and gas wells in the Middle East for several years

But even in those years, America didn't have to introduce rationing like Europe did, at least not very severe rationing anyway. Basically, it traded very little and was nearly self-sufficient.

So there we have it: we are going to see shrinking trade and self-sufficiency, just like in the 8th century. That will have to be the way ahead until the supply of energy from West Asia returns to its pre-February 28 levels, which experts say could take around five years.

SHORT SUPPLY IN INDIA

Indians are used to this state of affairs. The current generations have seen greater availability of things than the ones before 2000. But the idea itself is not alien. That makes the job easier for the government.

But the actual problem is different. The current lot of civil servants have no experience of direct supply management. We can expect them to make a gigantic mess of it because allocation and delivery is very, very hard to manage. That's the real danger the government faces today. I wonder if it's even aware of it.

The experience of food delivery during the Covid years was doubtless exemplary but that was because it was just wheat and rice that had to be delivered to everyone. Today, it's going to be very hard to deliver all the other essentials.

How, for example, will entitlement be determined, verified and executed? One can be sure that there is a good deal of thought being given to this but it's the State governments that have to do the actual work and their capacities are quite limited. Quite simply, they don't have trained staff and the administrative infrastructure for it.

Net-net, the government, having successfully quelled the panic over petrol and cooking gas, now needs to prepare the country for a period of erratic and limited supplies. The Prime Minister's speech in the Lok Sabha last week was only the first step in this preparation. A lot more needs to be done.

Why the govt is pushing consumers to piped gas

This shift will reduce India's reliance on imported LPG and insulate the country from global supply shocks

bl.explainer

Richa Mishra

The blockade of the Strait of Hormuz following conflict between the US, Israel, and Iran has made India aggressively push for increasing the availability of natural gas and petroleum products. The Natural Gas and Petroleum Products Distribution Order, 2026 has been specifically designed to tackle several historical hurdles that have stalled the country's transition to a gas-based economy.

What is the government trying to do through the Natural Gas and Petroleum Products Distribution Order, 2026?

The government's primary goal through this order is to accelerate India's transition to a gas-based economy by mandating a shift from LPG cylinders to Piped Natural Gas (PNG) where infrastructure is available.

Issued under the Essential Commodities Act, 1955, the order focuses on — Mandatory PNG Transition, LPG Discontinuation, Faster Infrastructure Rollout, Access Rights, and Energy Security.

By promoting PNG, which has a higher domestic production than LPG, the government aims to reduce vulnerability to global supply disruptions, such as the one caused by the ongoing conflict in West Asia.

Why is the Centre trying to shift people from using LPG to PNG?

The move is primarily to strengthen national energy security and reduce the massive import bill. India imports approximately 60 per cent of its LPG, with nearly 90 per cent of those imports passing through the Strait of Hormuz.

Unlike LPG which arrives via ship and truck, PNG is delivered through fixed underground infrastructure that can be fed from diverse sources, mostly domestic fields and multiple import terminals, making it far more resilient to global shocks.

By forcing consumers with pipeline access to switch to PNG, the government can redirect limited LPG stocks to rural and remote regions where laying pipelines is not economically viable. In major metros, PNG is currently roughly 12-15 per cent cheaper than non-subsidised LPG. Besides, Consumers pay only for what they consume, eliminating "dead stock" left in cylinders and the need for upfront lump-sum payments.

How will the larger issue of gas availability be addressed?

The shift to PNG while gas supplies are tight may seem contradictory. But the government is using a Priority and Efficiency strategy to make it work.

PIPED GAS. The way forward

For example, under the Mandatory Sectoral Prioritization done under the Natural Gas Control Order, 2026, domestic PNG and Transport (CNG) now have the first right to all available gas (both domestic and cheap long-term imports). Experts say, it takes far less gas to power a kitchen than a factory. LPG is a heavier and more expensive fuel to manage than natural gas. The shift will also help in Supply Chain Savings.

Every urban household that shifts to PNG frees up a cylinder for a rural household where pipelines can't reach. This balances the total energy basket without needing an immediate 100 per cent increase in total gas volume.

According to information available as of March 2026, India has crossed 1.6 crore (16 million) domestic Piped Natural Gas (PNG) connections. The government aims to reach 5 crore (50 million) domestic PNG connections by 2030.

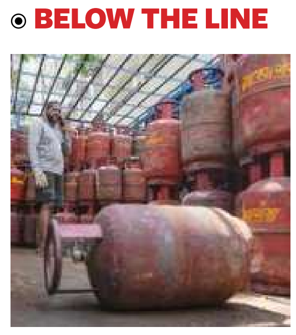
The gas for PNG and CNG comes from two main pools: Domestic administered price gas and imported gas.

Gas produced from domestic fields is sold at regulated, lower prices. Under the Order, 100 per cent of this gas is diverted to City Gas Distribution (CGD) companies. India has secured 20-year contracts with countries like the UAE and Qatar. This gas is ring-fenced — it cannot be sold to factories until the needs of homes and cars are met.

The government is mandating that domestic fields (like those in the KG Basin) prioritize City Gas Distribution (CGD) companies. Previously, gas producers sold to the highest bidder, mostly power plants. The government is shrinking the gas pool for industry to ensure the domestic PNG pool remains full.

India already produces 92 MMSCMD of natural gas domestically out of a total daily requirement of 191 MMSCMD. City gas distribution has expanded from 57 geographical areas in 2014 to over 300 today, according to the government.

BELOW THE LINE



GAS. Novel moves PTI

Cylindrical vision

Do you have a commercial LPG cylinder to offer? Come to Munnar and enjoy a free stay in a resort for a day.

The resort owner in the hill station has given an unusual offer of rent-free accommodation for a day with complimentary breakfast on one condition: guest should arrive with their own cooking gas. The crisis has forced the owner to temporarily shut operations for a week, prompting this creative workaround to keep the business running.

While the resort has switched to firewood for cooking, the sharp increase in its price — from ₹4 per kg to ₹20 — has added to the challenges. The offer will remain in place until the LPG supply returns to normal.

Musical chairs

Earlier this month, the Commerce Ministry invited applications for the post of director, Basmati Development Export Foundation (BDEF). At least four retired officials have applied for it.

The director's role is seen as significant in view of the Ministry collecting ₹70 a tonne plus GST from basmati exporters when they seek registration-cum-allocation certificates.

However, the fate of the four will be known when a key Commerce Ministry official returns from an overseas visit.

Meanwhile, the age limit for the vacancy has been fixed at 65, in particular to accommodate retired IAS officers. So, what is the wait for, asked an industry person.

Spaced out

An executive of a multi-national gadget company was left shocked during a recent visit to Chennai where he had come to inaugurate one of the experience centres of the gadget maker. Contrary to expectations, the venue turned out to be a tiny multi-brand retail outlet, no larger than a few office cubicles. While his team had tried their best to create a makeshift stand displaying a handful of products, the executive was left uncomfortable as he addressed the press amidst customers walking around in the background and signs of competing brands featuring prominently in the background.

Silence on Kaleshwaram

Telangana Chief Minister Revanth Reddy doesn't miss an opportunity to take a dig at the Opposition. This time he took off on the Kaleshwaram project. He lambasted the BJP for not ordering a CBI probe on the project despite the State government's pleas over the last one year.

Speaking in the Assembly, Chief Minister said: "Prime Minister Narendra Modi and Union Home Minister Amit Shah openly made a statement that the KCR family siphoned off funds allocated for the Kaleshwaram project. It was Union Minister G Kishan Reddy who also commented that the Centre is ready to order the CBI probe and put KCR and Harish Rao behind the bars within 48 hours of the state government being ready."

The State government had written a letter to the Centre requesting to handover Kaleshwaram scam to CBI. No luck so far. **Our Bureaus**

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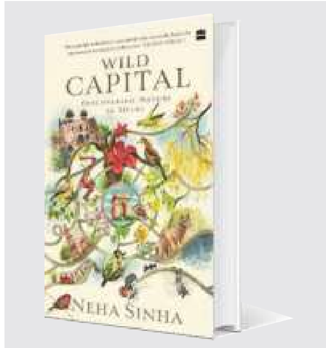
Delhi's green heritage

A voyage of discovery into the city's flora and fauna

BOOK REVIEW.

KC Vijaya Kumar



Title: Wild Capital
Author: Neha Sinha
Publisher: Harper Collins
Price: ₹799

Cities often get reduced to cliches: Delhi's pollution, Mumbai's rush, Chennai's heat, Kolkata's time-warp, and Bengaluru's traffic congestion. But beyond these definitions, there are more layers to discover within Indian urban sprawls.

Neha Sinha does precisely that in her latest book *Wild Capital*, taking the reader on a voyage of discovery into Delhi's flora and fauna. Like her earlier book *Wild and Wilful*, a sense of wonder permeates her outings that sample nature's myriad hues, this time specifically in India's capital.

The writing resonates with the style usually associated with Ruskin Bond, and in her specific arc, a conservation biologist's rigour is evident. Just like Bond and other gifted authors, Neha makes you pause and peer outside the window. In India, nature-writing can at times do the grand-standing trick of only following the tiger. But Neha begs to be different.

Nothing escapes her attention, be it leaf-litter, long grass, flowers, bugs, gnarled trees, birds and animals. Even water bodies and scrub jungles are highlighted. There are references to her life, and how in enmeshing it with nature, she finds stillness and joy. When she loses her dog Gypsy, the dark shroud of grief dissipates slowly through her forays into the outdoors.

In this era of cramped living spaces and designer lawns, Neha's anguish is evident when she writes: "Manicured gardens look to erase the needs of time, privileging the fast-growing over the slow and patient. Standing in a centuries-old forest, I wonder if we can appreciate where we are and how we must spread the seeds of the old."

Be it the Central Ridge, the Hauz Khas lake, the land around Mughal-era monuments, and near the Yamuna river, Neha dips into the respective terrain's present, broods over the past and highlights nature's evolution, be it loss and growth, and the constant flux.

Just as the book throws light on Delhi's tryst with the elements, and Neha's odd health scares, it also offers a warm embrace to its naturalists. Be it Pradip Krishen, Vallari Sheel or Vijay Dhamsana, they all find a generous mention in the tome. Their pithy lines, and insights into forests that fringe Delhi, reveal people placed far from the rat-race. "It might seem daunting to find such people, but more often than not, people who share similar interests are people you can get along with," Neha writes. Later she adds: "Going into nature has meant a going out of comfort zones, and a growing inward for rootedness."

SEMALS' WAY

The semal tree is often a reference point, an anchor that whips up some terrific lines: "Semals are the bays that the crashing waves of a kite's flight dock in; semals are the bays that have protected us from the high tide of negative thoughts." Neha finds naughty squirrels and coppersmith barbets upon this tree, and diligently she notes down their quirks and charms.

The finest of nature's prose can be culled from the backyard, it doesn't necessarily demand a trip to the Nilgiris Biosphere or the Himalayas. Our cities do have their own spaces of grace, and Neha does yeomen service to Delhi, just like other wordsmiths in the past, be it Khushwant Singh or William Dalrymple.

That nature, if allowed, heals itself and us, is a theme that runs through this book. Army veteran Colonel Pankaj Sharma tells Neha: "I tell others, the moment you can settle into life a bit, look at birds. They will soothe you." It is also a book that is like a hangout zone for fellow writers. Robert Macfarlane, Salman Rushdie and Amitav Ghosh, are all quoted.

Neha stresses that Delhi, with its myriad environmental issues, can still revive itself. There is hope lingering in the last few pages. "Nature doesn't ask us for reports, payments or untruths," she writes. This is non-fiction with the finest of literary flair and a gorgeous hat-tip to India's capital.

The reviewer is Sports Editor, The Hindu

Insight into a historian's method

Romila Thapar challenges inherited narratives and demystifies some stereotypes about early India

BOOK REVIEW.

Uday Balakrishnan

In his celebrated television series *Civilisation*, the well-known art-historian Kenneth Clark compared an African tribal mask with a Greek statue of Apollo. While admiring the mask's power, he nevertheless concluded that the Greek statue represented a higher state of civilisation. African art, he claimed, arose from a world of fear and darkness, while Greek art sprang from light and reason.

The judgment tells us little about African culture and a great deal about Clark's own assumptions. It illustrates a warning by the writer Jan Myrdal: "Many authoritative books reveal more about the society that produced them than about the cultures they claim to describe."

It is this habit of mind that *Speaking of History* resists. In conversation with Namit Arora, Romila Thapar shows that history is neither intuition nor inherited belief, but a demanding craft. As AJP Taylor once observed, the historian's task is to understand an epoch on its own terms, not to judge it against modern or personal scales. Thapar's approach also echoes EH Carr's insistence that historians must try to understand why people acted as they did. This requires method, i.e., choosing subjects open to inquiry, asking the right questions, verifying sources through scrutiny, and organising evidence into a reasoned and honest historical account.

The conversational format brings this out effectively. Arora often speaks in the voice of the informed lay reader: confident, contemporary, sometimes speculative, and frequently axiomatic. Thapar responds without condescension, grounding the discussion in scholarship, particularly when it turns to sensitive themes such as the rise of Hindutva. She does not rebut opinions so much as dissolve them by placing them in historical context.

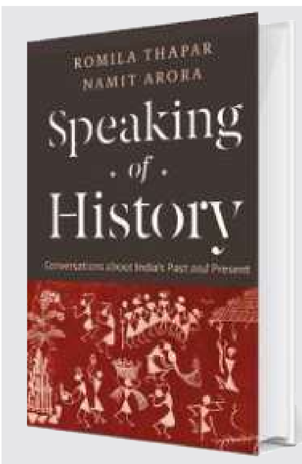
This authority is evident in her critique of colonial interpretations of Indian history. She revisits James Mill, who wrote a history of India without ever visiting the country and framed Hindus and Muslims as two hostile nations. Thapar challenges these inherited narratives by pointing to long-established trading networks and intellectual exchanges, reminding us that Islam had a peaceful presence in India long before invading armies.

ISSUES OF RELEVANCE

Several of the later conversations address issues of immediate relevance: Islam's integration into Indian society, the limits of nationalism, and the need to revise our own historical interpretations. This is especially important today when religious polarisation threatens India's democracy, secularism and pluralism. Thapar's approach here recalls Margaret MacMillan's warning that the past can be used and misused to justify exclusion and violence.

Thapar also demystifies cherished assumptions about early India. On patriarchy, she notes that available evidence suggests enslaved women were treated as property, exchanged as gifts, neither of which is cause for celebration. She questions romantic claims of ancient tolerance, asking why Ashoka would need to plead for non-violence if it was already the norm.

Not all her conclusions are uncontroversial. Her scepticism about the existence of a common Indian identity in early Sanskrit sources invites debate, given how widely the epics circulated among ordinary people. Yet the value lies in her willingness to leave questions open rather than force conclusions.



Title: Speaking of History - Conversations about India's Past and Present
Authors: Romila Thapar and Namit Arora
Publisher: India Allen Lane
Price: ₹699

MEET THE AUTHOR

Romila Thapar is emeritus professor of history at Jawaharlal Nehru University

Namit Arora is a writer, social critic, and the author of four books

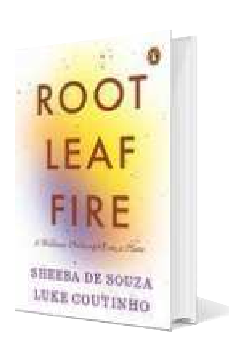
Speaking of History is less a survey of the past than a demonstration of how to think about it. By identifying what is genuinely worthy of pride in the Hindu past, such as the decimal system, zero, algebra, and geometry, Thapar points out how easily real achievements are displaced by exaggerated or invented claims. If Thapar is the book's intellectual conscience, Arora is its necessary foil. His questions, while accessible, frequently carry the freight of contemporary grievance, and it is what draws Thapar out. Where Arora nudges the conversation toward predetermined conclusions, she resists; where he reaches for historical analogy to validate a present-day position, she reframes. The pattern is revealing: each time historical examples are invoked to score a contemporary point, Thapar demonstrates why that move fails: the past is not a quarry from which convenient stones may be extracted, but a complex terrain that resists easy navigation.

In this sense, Arora's instinct to instrumentalise history, so common among informed lay readers, becomes the book's most useful device. It gives Thapar's rigour something to work against, and in doing so, makes the case for serious historical method more vividly than a more scholarly interlocutor might have done.

A troubling question nevertheless remains. Romila Thapar is among the most celebrated historians India has produced, yet reputation alone cannot bridge the distance between the seminar room and the public square. In an age when history is being aggressively weaponised, popular understanding of the past is increasingly shaped by articulate voices whose credentials do not always bear scrutiny. It is they who set the terms of public debate. This book largely addresses readers already inclined to listen. For Thapar's thinking to matter beyond an admiring audience, it must find ways to travel further without sacrificing the rigour that makes it worth hearing in the first place.

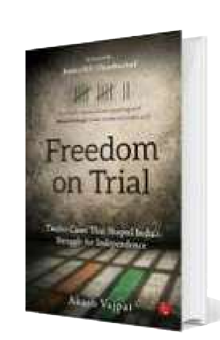
The reviewer is a columnist exploring the intersections of state, society, and history. He taught public policy and contemporary history at IISc, Bengaluru

NEW READS.



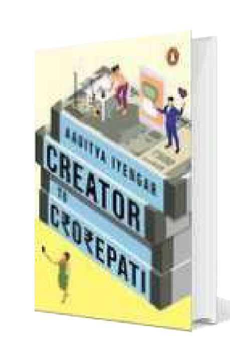
Title: Root Leaf Fire
Author: Luke Coutinho, Sheeba de Souza
Publisher: Ebury Press

The book is a clear and practical approach to everyday eating, blending science-backed health principles with deeply personal, intuitive, flavour-driven cooking



Title: Freedom On Trial
Author: Akash Vajpai
Publisher: Rupa Publications India

The book uncovers a forgotten front of the Independence movement, where colonial courts became battlegrounds and justice itself stood accused



Title: Creator to Crorepati
Author: Aaditya Iyengar
Publisher: Penguin Business

The book offers a no-nonsense guide to navigating the creator economy, explaining what works, what doesn't, and how to start turning content into income

thehindu businessline.

TWENTY YEARS AGO TODAY.

March 30, 2006

STPI units eligible for IT sops

The Finance Ministry has said that Software Technology Park of India (STPI) units should not be denied tax exemption under Section 10 A of the income-tax law merely on the grounds that approval to such units have been granted by the directors of the STPIs and that such parks have not been approved by the Central Government.

Videocon-GAIL group bags Oman contract

Only days after making public its acquisition bid for Daewoo Electronics of South Korea, Indian consumer durables major Videocon Industries Ltd has gone prospecting for oil in Oman. The company said a consortium that includes GAIL (India), BPCL, HPCL and Oilex of Australia had been awarded Block 56 in Oman for exploration and further development.

Norms eased for unlisted cos raising money abroad

The Government has eased the domestic listing rule for unlisted companies that raised money from overseas markets and are not making profit. Such entities have now been permitted to comply with the listing condition on the domestic stock exchanges within three years of having started making profits.

Short take

Tea industry looks to retain aroma

Sujit Patra

Defying fear of a slowdown due to punitive US tariff and geo-political disturbances, tea exports recorded a high in 2025.

The last calendar year was remarkable, as the industry witnessed higher production and exports. The Tea Board and the Commerce Ministry have supported the industry, which is valued at around ₹1 lakh crore. The industry now regards 2026 with both apprehension and optimism.

After a huge fall in tea output of 90 million kg (mkg) in 2024, there was an increase in production by 66 mkg in 2025; North India accounted for much of the increase in both production and exports. While CTC, commonly consumed in India as well as exported, saw a 36 mkg jump in production, Orthodox saw production and exports rise 30 mkg and 22 mkg, respectively. Orthodox tea production hit a record high of 148 mkg, and the growth came from the small growers who produced 78 mkg i.e. 57 per cent of India's production even as big growers lost crop in 2025.Due to this, supply of better quality CTC was crimped in 2025 while availability of plain and medium varieties increased.

Higher import has been a worry for the industry, though a major portion of it was meant for re-export. Bulk of these imports were from Nepal, Kenya and Vietnam. Cheap quality imported teas, blended with indigenous tea and re-exported as Indian tea, have become a headache for the industry; the government needs to enact some multi-origin rule to protect India's quality image.

In 2025, India posted a record tea export of 280 mkgs. In the midst of geo-political turmoil and high tariff by US, exporters focused on Iraq, Iran, UAE and China. Iran, Iraq and UAE now jointly account for over 40 per cent of India's exports.

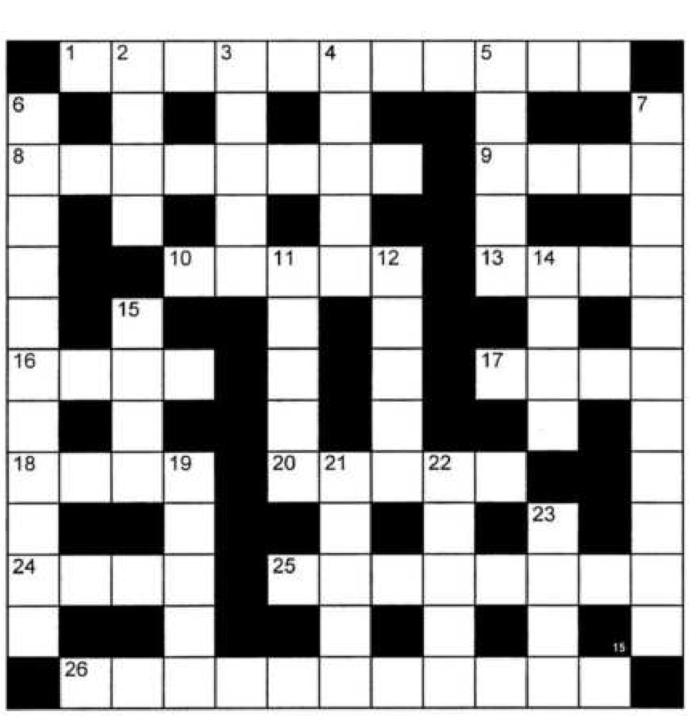
Iraq and UAE have now replaced Russia (31 mkg) as the largest destinations. The combined increase in shipments to Middle East more than offset the deepening contraction to US and EU. The current West Asian conflict could disrupt tea exports, if the war does not end soon. The Centre's restoration of RoDTEP, shipment credit, will surely help the tea industry's efforts to boost exports.

Price scenario has been gloomy since June 2025 and heavily discounted till the end of 2025. Tea Board's Directive of 100 per cent dust tea auction and random testing has had some impact on the market. Realisations have improved.

Pipeline stocks are low compared to last year. Premiumization of tea as well as inclement weather in North India since November 2025 suggest that prices may stay firm for a while.

The writer is former Secretary, Indian Tea Association

BL TWO-WAY CROSSWORD 2646



EASY

ACROSS

1. Chiefly (11)
8. Mineral salt, halite (4-4)
9. Great affection (4)
10. Fool, buffoon (5)
13. Rock hollow (4)
16. Neaten (4)
17. Clenched hand (4)
18. Insensitive or irritating person (4)
20. Pull together, revive (5)
24. Pond creature (4)
25. Harem (8)
26. Just proportion in all the parts (11)

DOWN

2. Speed event (4)
3. Of the nose (5)
4. Connected by marriage (2-3)
5. Tree with light purple flowers (5)
6. Scaring (11)
7. Enjoyment, delight (11)
11. Express willingness (5)
12. Of the senior service (5)
14. Dry, parched (4)
15. Jetty (4)
19. Put one off (5)
21. The white poplar (5)
22. Inclined oneself (5)
23. Of Czech, Slovak, etc group (4)

NOT SO EASY

ACROSS

1. In the main panic, I'll pry into it (11)
8. This sort lack a form of halite (4-4)
9. What tennis player starts with is passion (4)
10. Funny man not always clever to admit it (5)
13. Schoolboy's warning looks hollow (4)
16. Neat way to get one's balance (4)
17. It's a duke's handwriting (4)
18. Irritating person to see in dinner dress (4)
20. The right supporter for a motoring event (5)
24. Like a salamander found on leaving Sir Isaac (4)
25. At sea, girl can come to nothing but the harem (8)
26. It gives the effect of distance to obsolete optics (11)

DOWN

2. Rush for the groove that holds the ball-bearings (4)
3. Of the nose that turns up in Pamela's ancestry (5)
4. Working as a solicitor related by marriage (2-3)
5. Pale mauve is all one can make with carbon (5)
6. Finger thing that may be causing alarm (11)
7. Enjoyment of cattle in ode written about it (11)
11. A bid made for possible contents of iron (5)
12. Name of a grandparent concerned with the fleet (5)
14. Dry raid carried out (4)
15. A buttress that may be put out to sea (4)
19. Put one off making bucks around the end of August (5)
21. Be in the drink with a white poplar (5)
22. Was inclined to allow an insert to be made (5)
23. Eastern European has almost given up the French waltz (4)

SOLUTION: BL TWO-WAY CROSSWORD 2645

ACROSS 1. Vaporise 4. Odds 8. Nip 9. Piano 10. Ska 11. Strudel 12. Trend 13. Considerate 17. Water 18. Lignite 20. Too 21. Aloft 22. Irk 23. Hake 24. Deserter

DOWN 1. Vanish 2. Paper 3. Stall 5. Dissect 6. Shandy 7. Forthright 9. Pedestrian 14. Outlook 15. Twitch 16. Beaker 18. Loose 19. Idiot

NEWS SNIPPETS.

CERC settles dispute dating back a quarter century

A 25-year-old dispute between Lanco Kondapalli Power Ltd and the electricity distribution company (discom) of Andhra Pradesh was settled recently by the Central Electricity Regulatory Commission.

Lanco Kondapalli owned a 368 MW gas-fired power plant. The dispute was over the date of commencing power generation. Lanco said the plant started functioning in October 2000; the AP/Telangana discom put it at January 2001, describing the earlier period as a trial run for which it would pay only for fuel and not the fixed charges. At the heart of the dispute was ₹78 crore.

On March 23, the commission ruled in favour of Lanco. The discom will have to pay Lanco ₹165 crore, including interest. The key takeaway from the ruling is that the 'commercial operation date' is the plant's operational readiness and not buyer approval.

Tariff framework to cover energy storage systems

On March 20, the Central Electricity Regulatory Commission (CERC) notified amendments to its tariff regulations, formally integrating energy storage systems (ESSs) into India's central tariff framework.

For the first time, integrated ESSs are treated as core assets rather than pilot add-ons. The rules extend the 2024 tariff framework to coal-, lignite- and gas-based stations, as well as inter-State transmission systems (ISTS), when they deploy storage for beneficiaries.

The amendments introduce standardised technical definitions — covering parameters such as battery cycle, depth of discharge, C-rate, state of charge, and round-trip efficiency — creating a common technical-commercial language. They also establish a supplementary tariff structure with separate fixed storage charges and energy charges.

The annual fixed cost of ESS will recover capital costs through fixed charges, while energy charges reflect the cost of electricity used for charging, adjusted for efficiency (minimum 85 per cent) and auxiliary consumption. Lithium-ion ESS are assigned a 15-year useful life.

Developers must file supplementary tariffs within 90 days of commissioning, improving transparency and giving investors, utilities and lenders clarity on how storage assets will be valued and paid for.

Round-the-clock supply of green energy

Rays Power Infra Limited, via its subsidiary Bhalki Solar Power Private Limited, has been awarded the mandate to develop and construct a 200 MW round-the-clock renewable energy project to supply to Railways Energy Management Corporation Limited.

The project will integrate more than 700 MW of solar and wind capacity, supported by over 1,000 MWh of battery energy storage system, ensuring uninterrupted power delivery. It will add ₹5,000 crore to the company's orderbook, and is to be commission by June 2028, with modules made using solar cells from Rays Power's upcoming facility in Madhya Pradesh, under its subsidiary Rays Green Energy.

RESERVE STRENGTH

Power adequacy plan: Key takeaways

CHARGING UP. The Central Electricity Authority's energy security guidance maps the demand-supply scenario in the coming decade

M Ramesh

The Central Electricity Authority (CEA) has released its national generation adequacy plan for the decade from 2026-27 to 2035-36. The detailed technical document synthesises results from Monte Carlo simulations — thousands of "what-if" scenarios with varying demand, renewable output and plant outages — to assess how reliable the power system would be under real-world uncertainties.

At its core are the numbers India needs to reach by 2035-36. Electricity demand is projected to rise to 3,365 billion units, from about 2,000 BU in 2025-26. Installed generation capacity must increase from around 520 GW to about 1,121 GW, including 335 GW of fossil fuel-based capacity and 786 GW of non-fossil capacity. Energy storage capacity is expected to reach 174 GW/888 GWh.

Beyond these numbers, the document offers several insights.

The first, and perhaps most striking, is coal's defiance. Coal-based capacity is projected to rise by only 78 GW, and its share in total capacity will fall from 41.5 per cent in 2026-27 to 28 per cent in 2035-36. Yet, in terms of actual electricity generation, coal will still dominate, accounting for 51 per cent in 2035-36. Solar capacity will nearly triple — from 176 GW to 509 GW — but contribute only 27 per cent of generation, with other sources trailing further behind. Coal, in effect, is saying: "You may hate me, but you cannot ignore me."

The second insight is the growing importance of pumped storage projects (PSPs). From a modest 5 GW in 2026-27, PSP capacity is projected to surge to 94 GW by 2035-36, outpacing the projected growth of battery energy storage systems (BESS) from 9 GW to 80 GW over the same period.

RADIATING ENERGY. India's solar capacity will nearly triple by 2035-36 ISTOCK

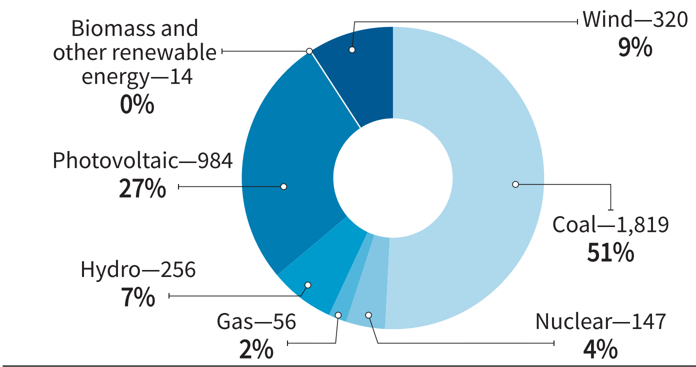
Projected requirement of installed electricity generation capacity (year-wise and source-wise)

Year	Coal (including lignite)	Gas	Nuclear	Large hydro	PV	Wind	Other RE	Total	BESS	PSP
2026-27	237	20	10	48	176	63	17	571	6	5
2027-28	239	20	12	54	214	73	17	629	12	7
2028-29	245	20	12	55	254	83	18	687	17	13
2029-30	260	20	13	58	285	93	18	747	24	23
2030-31	276	20	14	59	320	103	19	811	28	32
2031-32	291	20	16	61	356	113	20	877	37	44
2032-33	299	20	19	64	395	123	20	940	46	54
2033-34	303	20	22	66	434	133	21	999	57	64
2034-35	307	20	22	75	474	144	21	1063	68	79
2035-36	315	20	22	78	509	155	22	1121	80	94

Note: All figures are in GW. Existing PSP capacity of 3.7 GW (closed cycle), which is not operating in PSP mode at present, has been modelled as conventional large hydro plants for the study. The projected PSP capacity in 2035-36 will increase to around 98 GW. Other RE includes biomass, waste-to-energy and small hydro.

Source: Central Electricity Authority

Projected gross electricity generation of 3,596 BU in 2035-36 (source-wise)



Source: Central Electricity Authority

ROLE OF PUMPED STORAGE

The CEA clearly thinks highly of PSPs, describing them as "a critical component of India's evolving power system".

These plants provide long-duration storage — typically six hours or more — helping manage peak demand. The document also notes their relatively lower environmental impact, a claim that environmentalists may contest. It adds that the technological maturity of PSPs enhances investor confidence and enables long-term financing, making them viable for large-scale deployment, compared to alternatives that rely heavily on imported components.

The authority points out that BESS depends on cell supplies from "one of the Asian countries", exposing India to geopolitical risks, trade frictions and price volatility. While battery costs are declining, the "actual cost" depends on factors such as depth of discharge, round-trip efficiency, degradation, number of cycles, land requirement and the provision of free charging power.

REALISTIC TARGET

A third takeaway is that the demand projections appear achievable, given what the CEA describes as "complete visibility" of capacity additions by 2035-36. The "visibility" is across the board.

- Coal-based power plants: 41 GW under construction; 22.4 GW to be taken up for construction soon; and 16 GW in the planning stage.
- Hydro: 13 GW under construction; 17 GW more under planning.
- Nuclear: 6.6 GW under construction; 7 GW under planning.
- Renewable energy: 155 GW under construction; 48 GW under tendering.
- Pumped hydro: Sites for 100 GW identified; 7.2 GW commissioned; 13 GW under construction; and 9.5 GW at "advanced stage of planning".
- BESS: 11 GW under construction; 22 GW under tendering.

Finally, the document underscores the importance of planning reserve margin (PRM) as a reliability metric. PRM refers to the extra capacity available beyond peak demand. The CEA estimates that India will need a PRM of 13–14 per cent by 2035-36 to ensure the system "remains resilient even with high levels of renewable energy."

NEW NDC

As wars rage elsewhere, India must battle to green itself

Mahua Acharya

India's new Nationally Determined Contribution (NDC) — non-binding climate action plans outlined by countries under the Paris Agreement — approved by the Union Cabinet on March 25 is a welcome development amidst all the global disorder.

The NDC neither overreaches nor is it as incremental as some critics have called it. It just moves forward, which in the domain of international climate politics is a rare quality.

India is committing to 47 per cent reduction in emissions intensity from 2005 levels by 2035 (building on the 45 per cent by 2030 target); about 60 per cent of installed electricity capacity from non-fossil sources by 2035; and a carbon sink of 3.5–4 billion tonnes through forests and tree cover.

These appear to be calibrated extensions from the past. But the drag is that the current power system presents challenges that possibly prevent larger jumps.

The previous NDC targeted 50 per cent non-fossil installed capacity by 2030, which India has already crossed. It is also on track to achieve the targeted 36 per cent reduction in emissions intensity. However, of the achieved 50 per cent non-fossil fuel target, less than 15 per cent is renewable.

Can we do better? The answer is 'yes'.

Globally, countries that once set the pace have struggled to hold it. Targets have slipped, timelines have stretched, fossil fuels are back in the mix. The US has stepped out of the Paris Agreement altogether.

So, when it comes to India's targets, in a landscape of uneven compliance, greater ambition without assured execution would do little more than invite criticism.

The new NDC is practical, perhaps deliberately. India is transforming one of the largest and fastest-growing energy systems in the world, while still industrialising and expanding access amid rising demand. Because the base is vast, every incremental shift is enormous in absolute terms.

Ambition at this scale encounters challenges such as transmission constraints, land acquisition hurdles, storage requirement, and lack of grid readiness and system flexibility. Had we planned differently — built transmission ahead of generation, designed for variability — the ceiling today may have been higher. In 2025, India built less than 50 GW of renewables capacity when China built three times that. If we had planned ahead for storage and grid infrastructure, perhaps we could have pushed renewables further and faster.

ISTOCK

The NDC pushes the existing system forward in an international arena that appears to be dithering.

But the global disorder is also an opportunity. Moving away from imports, this is the perfect time to double down on energy independence. While we have enabled LPG use in homes and managed to reduce indoor air pollution, it is now time for a massive rollout of electric cooking. This calls for aggregating the demand for small appliances, working with manufacturers, and organising the manufacturing and deployment — an effort on a scale not unlike the rollout of the Covid vaccine, which we achieved with unmatched speed and precision.

If urban pollution and oil imports persist, then the response should be rapid electrification of mobility. Only the Centre can do this, as has already been done with urban buses. From fewer than 1,000 electric buses in 2022, the country has contracted over 40,000 in 2026 and nearly 16,000 are on the roads today. Delhi has chosen to go all-electric with its bus system. This shift at a rapid pace is possible, but demands the collective effort of ministries, alongside dogged determination. A similar endeavour is needed for all wheels on the ground, starting with roadway transport vehicles , which currently move over 50 per cent of India's freight. This is the time to mandate electrification of all corporate, heavy-duty, gas-guzzling fleet.

So, the next phase of India's climate leadership will be defined through internal pressures, by choosing where to be relentlessly focused. While the NDC continues to be India's public commitment to the world, the fact is that now is the time to use the outside war to drive greener growth back home, and build a truly green *atmanirbhar Bharat*.

The writer is CEO, INTENT Platform, and former MD and CEO, CESL

Storage, flexible usage and 'virtual supply' are key to taming peak power demand

As electricity demand evolves over time, the core challenge is no longer about energy adequacy but the management of surging loads

K Balaraman

Electrical power systems — both generation and transmission — are built to supply power at all times. While this has ensured reliable supply, there is an embedded inefficiency too: oversized capacities remain under-utilised during non-peak hours.

The evolving nature of electricity demand suggests the core challenge is no longer about energy adequacy, but managing sharp and time-concentrated peaks.

Peak demand is growing faster than overall energy consumption, resulting in declining load factors. Moreover, instead of a single evening peak there are significant loads during midday too.

However, peak demand typically persists only for a few hours each day, and, more importantly, only a small fraction of annual hours — often less than 2 per cent — drives capacity planning decisions. This creates a structural imbalance: power systems are designed for rare peak conditions but operated for average conditions, leading to underutilisation of assets.

Peaking power plants, typically gas-based, operate only during high-demand periods and, therefore, only at 10-15 per cent of their capacity. In many systems, the marginal cost of peak power could be two to three times higher than the average cost of generation.

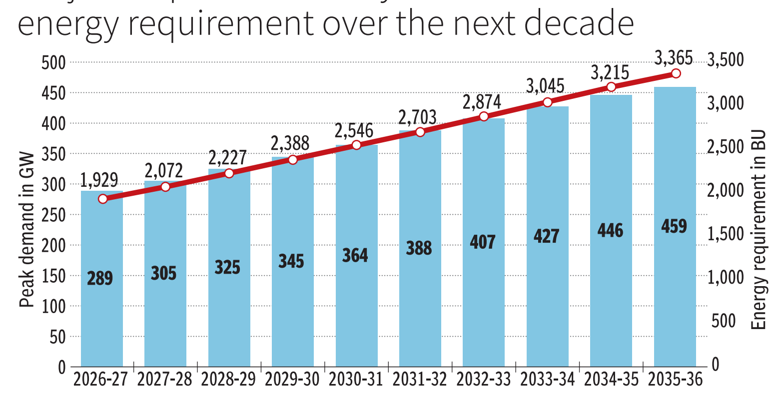
The ongoing energy transition adds another layer of challenge. Electrification of end-use sectors is introducing new demand patterns that are both dynamic and time-sensitive. Electric vehicle charging, for instance, is creating localised peaks, while rising cooling demand in tropical regions is amplifying summer loads.

The rapid expansion of renewable energy — especially solar — has introduced new complexities. While solar generation reduces daytime net demand, it also creates steep ramping requirements in the evening — a phenomenon commonly referred to as the "duck curve".

The misalignment between supply and demand requires thermal power plants to operate in flexible modes, involving frequent ramping and cycling of generation. This, in turn, not only reduces plant load factors but also impacts efficiency and increases wear and tear, thereby affecting overall economics.

Demand response represents the most immediate and cost-effective source of flexibility in modern power systems. By enabling consumers to adjust their consumption in response to grid conditions or price signals, it shifts non-essential loads away from peak periods. Industrial facilities, commercial buildings, agricultural loads, and, increasingly, residences can contribute meaningfully to peak reduction. Importantly, demand response requires minimal capital investment and leverages existing infrastructure, making it scalable and economically feasible.

Projected peak electricity demand and electrical energy requirement over the next decade



Source: Central Electricity Authority

ROLE OF STORAGE

Battery energy storage systems (BESS) provide a complementary solution, particularly for managing short-duration peaks. By storing energy during low demand or high renewable generation and discharging during peak periods, they are well suited for peak shaving applications. Since peak durations usually range from two to four hours, BESS aligns closely with system requirement. Although capital costs are currently ₹4–5 crore per MW for four-hour systems, the avoided cost of peak power procurement, coupled with deferred investments in generation and network infrastructure, make them attractive.

For longer requirement and system-level balancing, pumped storage plants (PSPs) offer value. Although they involve higher upfront capital, typically ₹6–7 crore per MW, their long life — often exceeding several decades — and low operating cost make them viable over the long term.

PSPs also provide critical grid services such as frequency regulation, inertia support, and system balancing, which are increasingly essential in renewable-dominated power systems.

VIRTUAL INFRASTRUCTURE

An emerging transformative concept is 'virtual infrastructure'. Instead of expanding physical networks, system operators can use distributed resources to deliver equivalent capacity more efficiently. Localised storage and generation reduce peak power flows, effectively creating "virtual transmission capacity" and alleviating congestion. At the distribution level, flexible loads and distributed storage reduce stress on feeders and transformers, avoiding the need for network upgrades.

Another key enabler for this shift would be the ability to harness small, behind-the-meter battery systems across residential and commercial consumers — often paired with rooftop solar — which, although installed for backup of essential loads, collectively represent a vast and underutilised flexibility resource. When aggregated, these distributed resources can form virtual power plants that operate as despatchable entities, providing peak capacity and grid support while blurring the boundary between generation and consumption for a more integrated and resilient power system.

A key point to note is that investment in flexibility than in rarely used capacity yields higher returns. By aligning infrastructure utilisation with actual demand, the system can achieve cost efficiency and operational resilience.

The traditional paradigm of designing power systems around peak demand is increasingly unsustainable in a rapidly evolving energy landscape. The emerging new model prioritises flexibility, efficiency, and intelligent system management over capacity expansion. Through integrated deployment of demand response, energy storage, and virtual infrastructure, power systems can transition toward a future that is not only reliable but also economically and environmentally sustainable.

Ultimately, the grid of the future will be defined not by capacity built, but demand management, flexibility and the interplay between them.

The writer is a power industry expert and former director general of National Institute of Wind Energy

OFFICE BUZZ.

AI talent transformation

LTM, the Larsen & Toubro company that is a business creativity partner to the world's largest enterprises, is undertaking an AI talent transformation of its workforce. It has partnered with Indian Institute of Technology, Kharagpur, to design deep-dive training programmes to skill its workforce in AI and related technology and industry areas. Through targeted AI learning programmes, hands-on workshops, and collaborative research initiatives, the endeavour is focused on systematically upskilling and reskilling employees to meet evolving industry and client demands.

"This collaboration with IIT-Kharagpur reflects our commitment to talent transformation by combining academic excellence with real-world application. Continuous skill development is essential to ensure our workforce remains relevant, resilient, and prepared to operate effectively in an AI-driven, rapidly changing technology landscape," said Gururaj Deshpande, Chief Delivery Officer, LTM.

Hiring norms

The controversy over Deepinder Goyal's hiring norms for his new wearable-tech start-up Temple refuses to die down, with people continuing to weigh in indignantly about the legality of such norms. The company is seeking engineers but has put out the unusual criteria that male applicants must have under 16 per cent body fat and female applicants 26 per cent body fat. The strict fitness requirement is non-negotiable, said the Zomato founder. While some have praised his approach, others are outraged. Earlier this year, Bengaluru-based Skill Sonic faced a social media backlash over its job post seeking a "non-Kannada HR person"!

FUTURE WELLBEING

Lupin goes for bigger bites of innovation

NEW FORMULAS. The siblings at the head of the home-grown multinational drugmaker share its roadmap for the next phase of growth

PT Jyothi Datta

BUSINESS CONTINUITY. Lupin's executive management team in 2005 (from left) Kamal Sharma, Nilesh, Vinita, Desh Bandhu Gupta

It's Friday the 13th — a day some consider ominous, but not Lupin Managing Director Nilesh Gupta. Dressed in a traditional black kurta, he walks in for our meeting on the ninth floor of the company's Mumbai headquarters — where he and his sister Vinita, the Chief Executive Officer, have their offices — to discuss the road ahead for the estimated ₹22,707-crore home-grown multinational drugmaker.

Nilesh is reminded that September will mark 13 years since he and his sister assumed their leadership roles. Good-humouredly he responds that the number (13) has been lucky for him — his surname, too, put him thereabouts in the alphabetical roll-call in class.

The silence across the floor, and inside Lupin's meeting room, lined outside by plants, belies a reality that is giving several corporate chiefs sleepless nights. A war rages in West Asia, supply chains are being disrupted again (after the Covid pandemic), and shortages begin to cast a long shadow — even in a country like India, which has a thriving domestic pharmaceutical industry.

Lupin has navigated tough times in the past too, under the stewardship of its founder, the late Desh Bandhu Gupta (he passed away in June 2017). DBG's (as he was called) children now steer the ship. Is their strategy on handling global challenges, this time posed by a war, different from their father's?

DBG would have taken bigger bets and bolder decisions, says Nilesh, because he was faced with "existential challenges". "We've not dealt with existential concerns, Vinita and me... I do think we stand on the shoulders of giants," he says, adding that the industry will overcome the current crisis.

Framing the big picture for Lupin, Nilesh says innovation is the space for their big bets for the future. The earlier vision for a new therapy every year, set by DBG, is done, says Nilesh. "We're into everything as far as generics... therapy-wise, dosage form-wise... that was the right strategy at that point of time," he says.

The journey continued with the making of dermatology products, oral contraceptives, ophthalmology products and inhalation formulations. And through it, Lupin evolved as a producer of complex generics — products that few could make and, hence, marked by less competition and better prospects. Then came biosimilars: "we see biosimilars being 50 per cent of our European market, for example... and a good part of the rest would be inhalation," says Nilesh. (Biosimilars, which are large complex molecules, are defined as "highly similar" to biological products.)

Lupin played a critical role in making cephalosporins and tuberculosis drugs, for example. "Now it's going to be about innovation," says Nilesh.

Explaining Lupin's entry into diagnostics, digital support and a neurological rehabilitation initiative, he says "the combination of diagnosis and pharmaceuticals seemed like a good place to start", and the digital health division opened up a different avenue for cardiac treatment and support.

As the three grow, Lupin becomes a "broader healthcare player", he says.

CRUCIAL US MARKET

Lupin's growth plans include acquisition, says Nilesh, adding, "Our acquisition priorities are speciality in the US and Rx (prescription products) in India... OTC (over-the-counter products) is definitely a third... Vitabiotics is interesting because it's, again, OTX (prescribed, but non-prescription product)." Lupin was reported to be evaluating UK's Vitabiotics, a nutraceutical company.

Outlining the importance of the US market, Vinita says, "The US is, and will continue to be a cornerstone of Lupin's global strategy." It's an important contributor to Lupin's financial performance, she says, pointing out that Lupin is the third-largest generic pharmaceutical company in the US by prescription volume — contributing to the health of Americans, besides generating considerable savings to the US healthcare system.

DBG's recently launched biography captures a time when he asked a young Vinita to set up and establish Lupin in the US. In the 1990s, the generics market looked very different compared with today, says Vinita. The Hatch-Waxman Act of 1984, in simplifying the Food and Drug Administration (FDA) approval process for generics and granting a 180-day exclusivity period for first-to-file companies, created the right conditions for growth, she adds. Being a part of the industry's transformation and driving the company's expansion in a strategically important market was exciting and energising, she says, adding, "It ultimately laid the foundation for the global pharmaceutical company we are today."

The US generics landscape changed and Lupin sharpened its strategic focus on complex generics, biosimilars and speciality products, which can sustain long-term business and mitigate the impact of external pricing pressures, she says.

Alongside the US, home market India is central to the company's strategy, as also Europe — another growth driver, with complex generics like respiratory products and biosimilars, she says.

BOLD BETS

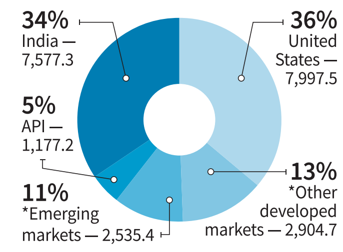
Being a large generic player does not necessarily equip a company to be a large innovation player, as the capabilities are different, and not necessarily India's strong point, Nilesh says. However, India can be leveraged for those capabilities, he adds. "We're now starting to operate innovation at two levels — one for the world, and the other for India."

In India, it could be cardiac, diabetes, respiratory and oncology molecules — all as new chemical entities (NCEs). "But the cost of development is lower for just India as a market. The time-to-market is shorter. And, therefore, you can have much more shots on goal. Obviously, you'll still have failure because you're taking NCE risk eventually," he explains.

The expectation is to have "a bunch of products in clinical trials" — for the first time, NCEs for India, he says, on picking up early innovation from China and Korea for development. "We are biting much deeper on the innovation side... on technology," he says, pointing to AI and innovations to manufacture for the future, and building into it compliance.

Going back to the backdrop of the war, Nilesh points to the opportunity to "scale even more elsewhere in the world". But aren't there price increases, shortages? "Hundred per cent, because people use this to their advantage," he says, citing increasing logistics and insurance costs. These are short-term, they will settle down, he adds. "I would by no means make light of the misfortunes of war," he says, but looking ahead, it's got to be innovation at scale — "much bigger bites".

Geographically diverse revenue stream



Note: All figures are in ₹ cr; as of FY25 values; *other developed markets include Canada, Australia and Europe; emerging markets include Latin America, South Africa, Philippines and the rest of the world

Source: Lupin

FINANCIAL HEALTH

- FY25: Revenue from operations — ₹22,707 crore; net profit ₹3,281 crore
- R&D spend: 8 per cent of total sales
- Lupin has 15 manufacturing centres and seven research sites.
- The domestic pharmaceutical industry is pegged at $60 billion, half of which comes from exports

Is more online presence less profitable?

PLATFORM SHIFT

KARAN TAURANI

The global FMCG industry is undergoing a structural shift, led by the rapid rise of online channels. While this transition is visible across markets, India stands out — not just for its low online penetration, but also the speed and nature of the disruption driven by quick commerce.

Online grocery penetration in China and the US stands at 15–16 per cent, reflecting a reasonably scaled omni-channel ecosystem, while India remains significantly under-penetrated at less than 5 per cent. As China moved from low- to mid-teen online penetration between 2018 and 2022, the ecosystem saw broad-based margin pressure. FMCG companies faced higher platform commissions, increased trade spends, and a shift away from higher-margin traditional trade, leading to visible compression of gross margin and EBITDA. In the US, during a similar ramp-up phase, margin pressure was largely borne by retailers due to the high cost of order fulfilment and last-mile delivery, while FMCG brands remained relatively resilient as online was primarily a route-to-market shift.

DISCOVERY AND DISCOUNTING

For India, the trajectory is likely to be closer to that of China than the US. With quick commerce driving a large share of online grocery growth, brands are more dependent on platform-led discovery, discounting, and higher channel investments. As penetration scales up from current low levels, FMCG companies are likely to face near-term margin pressure, driven by an adverse channel mix and rising competitive intensity. While growth will accelerate, profitability may remain under pressure until scale efficiencies and supply chain optimisation begin to offset these costs.

Unlike global markets, India has leapfrogged into quick commerce — a model that delivers groceries within minutes. This level of convenience is not present at scale in the US or China. As a result, India is not merely following the global online transition — it is accelerating it. Quick commerce is turning grocery into a high-frequency and impulse-driven category, fundamentally reshaping consumption patterns.

This is already visible in early data points. Categories such as beauty, personal care, apparel, and footwear have achieved 18–20 per cent online penetration, while FMCG and grocery remain under-penetrated. However, of the online grocery penetration, 50–60 per cent is driven by quick commerce. This is a powerful indicator of where the market is headed.

A structural shift is visible in India's beauty and personal care (BPC) segment. Digital-first platforms such as Nykaa have delivered strong multi-year growth. BPC GMV/revenue growth is trending at 25–30 per cent, outpacing traditional incumbents — for instance, Hindustan Unilever's BPC segment has grown 8–12 per cent. Notably, HUL's e-commerce channel (including quick commerce) is growing at about 2x the company average and contributes 10–12 per cent of domestic revenues. However, this growth comes with higher channel costs and mixed impact. There are other trade-offs to the growth.

MORE COMPETITION

First, the rise of quick commerce will lead to more brand fragmentation. The platform-led discovery model, combined with low consumer loyalty in essential categories, enables new-age and D2C brands to scale up rapidly. Unlike traditional retail, where shelf space is constrained, quick commerce allows for faster experimentation and rotation of products. This will result in more winners, but also competition.

For incumbent FMCG companies, this creates incremental pressure. While overall category demand will expand, market share consolidation may weaken, as newer brands capture niche segments and consumer attention.

Second, the channel shift will have direct implications for margins. Quick commerce and e-commerce channels typically operate with lower margins for brands compared with general trade. As FMCG companies have more of these faster-growing channels in the mix, the overall margin profile is likely to be diluted.

Companies will attempt to mitigate this — optimise costs, including rationalising advertising spends, improving supply chain efficiencies, and tightening operating expenses. However, these levers have limitations. In a fragmented and competitive market, reducing brand investments or innovation could be counterproductive.

As a result, even in the best-case scenario, FMCG companies may be able to hold margins only at current levels. The more likely outcome is moderate margin compression in the medium term, particularly as quick commerce continues to scale up.

The pace of disruption will depend on one critical factor: non-metro expansion. Currently, quick commerce remains concentrated in metro markets. If the model scales up effectively in tier 2 and 3 cities — and gains acceptance in grocery — the impact on growth and margins will be amplified. India's FMCG market could see a faster and deeper structural shift than those of global peers.

Net-net, India is entering a phase where growth and margins are diverging. Quick commerce will drive a sharp acceleration in FMCG consumption, increase category penetration, and expand the overall market. At the same time, it will introduce higher competition, lower loyalty, and sustained margin pressure.

The broader lesson from global markets remains relevant: online presence does not destroy profitability — it delays it. However, India's journey could be more intense. With quick commerce acting as a catalyst, the transition may be faster, sharper, and more disruptive than what China or the US experienced.

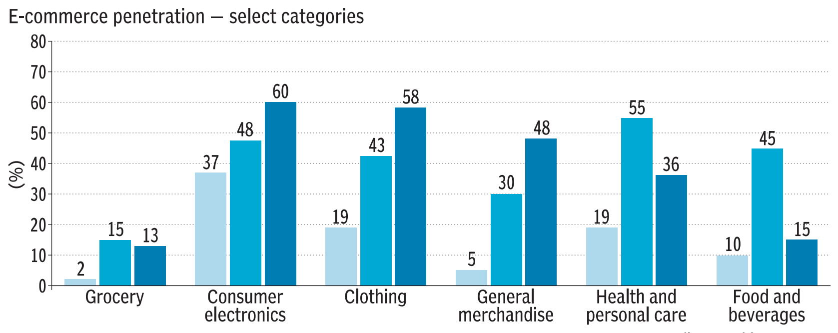
For companies and investors alike, the message is clear. The near term will be defined by scale, growth, and market capture. Margins, as history suggests, will follow — but only after the ecosystem matures.

India's FMCG sector is not just digitising distribution, it is also redefining competition and reshaping demand itself.

Karan Taurani is EVP, Elara Capital

E-commerce penetration of various categories: A comparison of India, China and the US

E-commerce penetration — select categories



Note: Non-seasonally adjusted

Source: US Census Bureau, E-commerce Database (ECDB), Statista, Redseer, Elara Securities Research

CHECKING IN

From 200 hotels to 500: Radisson's blueprint for growth in India

Chitra Narayanan

SERVING UP THALAIVA. Chema Basterrechea, global president and COO, Radisson Hotel group, striking a pose in this AI image; (right) Nikhil Sharma, Managing Director and COO for South Asia

Last fortnight, the lobbies of the Radisson Blu GRT in Chennai and Radisson Blu Temple Bay at Mamallapuram had swashbuckling filmi posters of the global hospitality chain's leadership. There was Nikhil Sharma, MD and COO for South Asia, hands on hips, rocking a *mundu* and crisp white shirt, and Chema Basterrechea, the global president and COO at Radisson Hotel group, also clad in white *mundu* and shirt and flicking his collars in classic Rajinikanth-style. Everyone from the IT head to HR head and sustainability lead was captured in dramatic poses inspired by Tamil films.

It was a conversation starter for the over 120 general managers and 80-plus owners who had converged in the southern capital to discuss growth strategies to scale up the chain's presence from over 200 hotels to 500 by 2030. The event, RAD Leads 2026, was also an occasion to reward and applaud performance. "It was an opportunity to thank a lot of people for achieving amazing results," said Basterrechea.

For those tracking the hotel sector for long, the 500 mark took one back a decade, when the race among the chains was to touch the 100 mark in India. Now, the race is to breach the psychological 500 mark (India's Taj hotels is inching there with 388 properties and targets 700 by 2030). It's a magical mark, for sure, for an industry that hit the doldrums during Covid but has been on a resurgence in the last couple of years and boldly building more supply. Overall, the industry is expected to add 1.14 lakh branded rooms by 2030, according to consultancy firm Hotelivate. "We have maintained a steady momentum with 14 openings in 2025 and additional hotels already opening in 2026, and we expect to cross 150 operational hotels soon," says Sharma. The chain has 141 operating hotels, plus 91 in the pipeline.

But numbers tell only half the story. Where the hotels are expanding, which brands they are betting on, whether the growth is coming from conversions or through greenfield properties... are all significant factors. Sharma says a key growth driver will be expansion in tier 2 and 3 cities. "We will also continue to leverage conversion-led growth and flexible development models, which enable faster expansion and efficient capital deployment." He said another key strategy would be to tap emerging demand segments, including leisure destinations, spiritual tourism circuits, and industrial hubs. The growing investor interest in hospitality as an asset class would also drive growth, he said.

In a competitive landscape, guest experience, employee experience and owner experience all matter-;Radisson's Chennai meet touched on all three. Said Basterrechea, "The hotels and companies that will make a difference are the ones that are ready for the present as well as the future. So we will continue to invest in technology and in people, because the share of the market can only be earned by doing better than the others."

Interestingly, the Belgium-headquartered chain had even invited owners whose properties weren't sporting the Radisson flag yet — for instance, the founders of Nala hotel, in Namakkal, who were soaking in the experience. "We will be converting to a Radisson Individuals six months from now. Right now, we are renovating," said Lakshminarmadha Sureshkumar. Many of the owners at the event said it was Radisson's flexible approach (no insistence on culturally irrelevant brand standards) that led them to sign up with the chain.

Globally Radisson has 10 distinctive brands — most have arrived in India, except for Prize by Radisson and the art'otel. "We continue to evaluate opportunities to introduce brands in India," Sharma says.

Radisson has an interesting ownership structure. In 2018, the Belgian chain was acquired by Chinese conglomerate Jin Jiang International (it owns the EMEA and APAC business), while Choice Hotels acquired the Americas business in 2022. Has it made any difference? "The global ownership has strengthened our scale, access to capital, and global synergies, while our strategy in India has remained focused on growth," says Sharma.

The industry is roaring with 80 per cent occupancy in cities like Delhi, and average daily rates are climbing sharply. But there are red flags. Hotelivate notes that frenetic building could lead to oversupply in smaller towns and a rate war. Geopolitics is a worry too. But as Basterrechea says, if there is one thing the hotel industry learnt during Covid, it was to be prepared for any crisis. "We do simulation exercises to handle any scenario," he says.

The writer was at RADS LEADS, in Chennai, at the invitation of Radisson Hotel Group

CHENNAI
businessline.
MONDAY - MARCH 30 - 2026

FUND FACTS.

$95 million

Renew Private Limited received funding from LeapFrog Investments, Emerging Market Climate Action Fund, and Carlyle AlpInvest on March 16, taking the total funding to $1.94 billion.

$54 million

Neo Investment Value Advisors Private Limited received funding from TVS Capital on March 20, taking the total funding to $217 million.

$47 million

Curefit Healthcare Private Limited received Series G funding from Temasek on March 21, taking the total funding to $697 million.

$47 million

Euler Motors Private Limited received Series E funding from Lightrock India (LGT Lightstone Aspada), Hero Motocorp Limited, and Blume Ventures on March 24, taking the total funding to $219 million.

$43 million

Ultrahuman Healthcare Private Limited received Series C funding from undisclosed investors on March 17, taking the total funding to $98 million.

Source: PrivateCircle Research, a private market intelligence platform

RE POSTS.

For Startups:
The easier part is to raise money, difficult bit is finding product-market fit and then scaling up.
For VCs:
The easier part is to handover term-sheets and deploy the funds, difficult bit is raising money for their funds!

pj
@BeingPractical

Startup thinking has truly permeated Bangalore...
We are in the middle of a diligence, and during consumer calls today, one thing stood out: Bangalore consumers don't just adopt startups, they co-build them.
They are forgiving of early flaws and intuitively understand that things will improve over time.
When asked how often they would use the service in future, they didn't just give a number. They started ideating on what more the startup can do and how their behavior might evolve with it.
Without any prompting, a few even mentioned they would be willing to pay 2x for something like this if it worked well. (I'm sure they don't mind when marketplaces charge convenience fees)
The most interesting part is how easy they make our job. You don't need to probe them to understand the use cases. They are already thinking in that direction.
It almost feels like the mental model of "building a startup" has seeped into the way consumers think here. Makes Bangalore an exciting ground for founders to test and iterate.
Any different pov?

Rahul Chowdhri
@rchowdhri

PATIENT FUNDING

Startups now deliver healthcare too

Rx-TECH. Moving on from digitising hospital settings and processes, startups are getting into the business of running them

Aishwarya Kumar

Anyone who has walked into a hospital in India knows the drill: moving from one counter to another, navigating multiple floors for diagnostic tests and investigations, and generally struggling to find one's way around the place... and all while being unwell too.

A new crop of healthcare startups aim to find a cure for this.

"You can't change how care is delivered unless you actually deliver the care," says Varun Dubey, founder of SuperHealth, explaining the broader shift that is underway in India's health-tech ecosystem.

No longer content with just building discovery platforms or digital layers, startups are venturing into the business of healthcare delivery itself.

In a country where access to quality secondary and tertiary medical care remains uneven, particularly outside large cities, the startups view the gaps not as a challenge but an opportunity.

According to Tracxn, healthcare providers in India have attracted $3.76 billion in funding since 2019. Investments peaked at $760 million in 2021, before moderating in subsequent years. In 2025, the sector raised $602 million, a 15 per cent drop from $709 million in 2024.

Where that capital is flowing to, and where it is not, is shaping the next phase of innovation.

"Significant capital is already flowing into hospital infrastructure, particularly in urban markets. What remains under-built are scalable formats such as single-speciality networks, distributed chronic-care pathways, and tech-enabled coordination models that can expand access without replicating heavy capex," says Dr Pankaj Jethwani, Managing Partner at W Health Ventures.

This is where many new-age startups see a place for themselves.

"In a capital-intensive and regulated sector like healthcare, startups can still carve out real advantages in the right white spaces by staying asset-light and deeply patient-focused from day one," Jethwani adds.

WIDENING ACCESS. SuperHealth is focused on optimising hospital infrastructure to reduce the cost of care delivery

"What's particularly interesting is seeing teams bring in talent and thinking from outside healthcare, and applying ideas from other industries to build differentiated models, especially in single-speciality and clinic-led setups," he says.

The earlier wave of health-tech startups focused on aggregation or convenience. The current generation is redesigning how healthcare is delivered, priced, and experienced. Even Healthcare, for instance, integrates insurance with care delivery, with a focus on continuous preventive care.

"We bundle insurance membership with an end-to-end, full-stack healthcare platform," says co-founder Mayank Banerjee. "That means everything from digital primary care to physical infrastructure. We currently operate two hospitals and expect to have six or seven by the end of the year."

The next phase of expansion is focused on under-served tier-2 and tier-3 cities such as Agra, Nagpur, and Indore, he says. The startup is betting on an asset-light model to keep costs under control.

Varun Dubey, Founder-CEO, SuperHealth

Mayank Banerjee, Co-founder, Even Healthcare

"We spend about ₹40 lakh per bed because we don't buy the underlying land... we lease it," Banerjee explains. "We aim to deliver a high-quality experience, but we're not trying to be a luxury hospital."

Others in the ecosystem are rethinking different parts of the value chain. SuperHealth is focused on the economics of hospital infrastructure itself. By redesigning layouts, optimising operations, and embedding technology into care delivery, it aims to significantly reduce costs without compromising quality.

ASSET-HEAVY VENTURE

Among the earlier entrants in this space, Pristyn Care, which offers surgical services to partner hospitals, is redoing its model as the market matures.

The company, which has raised $187 million from investors across seven rounds, is moving towards building and operating its own hospitals, says co-founder Dr Vaibhav Kapoor. It is also sharpening its focus on the under-penetrated secondary-care segment, where consolidation is inevitable as individual doctors or smaller hospitals struggle to operate independently, says Kapoor.

"Just like food delivery or e-commerce, healthcare will also consolidate into a few large players over time," he says. "Smaller hospitals will increasingly partner with, or become part of larger chains."

Hospital owners view this as a practical trade-off. "They continue practising, remain owners, but don't have to deal with the operational headaches," Kapoor says.

Pristyn Care targets around ₹1,000 crore revenue over the next two years, with EBITDA margins of 15–20 per cent. Along the way, it has made several course corrections.

"We've made mistakes — expanding too fast, over-hiring, and not being efficient enough. Those are things we've corrected now," Kapoor says.

Unlike asset-light startups, healthcare delivery demands tight control over operations, working capital, and talent. "Large hospital chains manage cash flows and working capital extremely well; that's something startups have to learn quickly," Kapoor adds.

FUNDING MARKET

India remains among the top global markets for healthcare startup funding, even as overall venture capital flows tighten.

"Major white spaces for hospital and clinic startups are in tier-2 and tier-3 markets," says Neha Singh, co-founder of Tracxn. "These regions remain underfunded despite strong demand."

She adds that areas such as chronic care, mental health, and rural primary care networks also remain under-explored. The growing number of funding deals in smaller centres such as Coimbatore, Thrissur, and Patna, however, point to a change in thinking.

STARTUPS: VAI-THEE-FUSS

How D2C firms must adapt to find buyers in the AI era

VAITHEESWARAN K

Following through from the previous column, here are some steps D2C (direct-to-consumer) startups can take to counter the impact of AI on traditional digital commerce models. Obviously, the answer is not to abandon digital marketing but rethink how demand and discovery are created.

Traditionally, internet businesses focused on ranking high on Google for keywords to attract traffic. If the business failed to rank high organically, there was always Plan B to attract traffic through paid search.

But in the AI era, owning the consumer's mind is more important than owning a keyword. Some of India's most successful consumer startup brands, such as Lenskart, Mamaearth, Sugar Cosmetics and Wakefit, did not succeed merely by ranking on Google searches but also investing heavily in influencer marketing, brand storytelling, and omni-channel presence. When a shopper searches for 'Wakefit mattress', instead of 'best mattress', the buying decision has almost been made. Strong brand recall is the best defence against AI disruption. This also means it will no longer be easy to launch a purely online brand and hope search traffic will deliver.

Increasingly, consumers discover products not through search engines but Instagram Reels, YouTube videos, and influencer content. A skincare routine video or gadget review triggers purchase intent long before search happens. For younger consumers especially, discovery begins with content, not search. This is why D2C brands must double down on creator partnerships and social media storytelling.

Building direct relationships with customers is critical. Email, loyalty programmes, and brand communities allow companies to maintain direct communication with their audience. These channels are not controlled by the algorithms of Google or Meta. Once a brand owns a customer relationship, repeat purchases are far easier to drive. Unfortunately many D2C startups have fallen for the "mobile-first" theory — believing only a phone number is enough — and miss out on capturing a simple email id.

An emerging tactic is what some marketers call "answer engine optimisation" — instead of writing content purely to rank on Google, companies are now creating structured, authoritative content that AI systems can reference when generating answers. The goal is to not just appear in search results, but to be cited by AI itself.

So far, consumers have searched for products and brands have competed for clicks. In the future, AI systems and creators will increasingly recommend products. Brands that build trust, storytelling, and community will continue to thrive. In the AI world, the winners will be not the most optimised websites but the brands consumers remember and the brands that ChatGPT cannot ignore.

The writer is a serial entrepreneur and best-selling author of the book 'Failing to Succeed'; posts on X @vaitheek

Armatrix's robots slither into dangerous industrial nooks

Bengaluru-based deep-tech firm develops snake-like robotic arm for hazardous tasks

Sanjana B

Interning at Carleton University in Ottawa on a MITACS fellowship, IIT-ians Ayush Ranjan and Vishrant Dave had a brainwave. "Ayush and I came across Canadarm, a 15-m robotic arm on the International Space Station that cost over a billion Canadian dollars to build and deploy. As we studied these hyper-redundant manipulators, we wondered why similar snake-like robots weren't used on the ground. So we returned to India and, out of naivete, set out to build a snake-like robotic arm," recalls Dave.

They soon realised how complex the system was. The biggest challenge lay in the control — while a conventional robot may have 5–6 possible solutions for a point in space, a snake-like robot can have over a million, making the compute requirement more demanding. Together with their batchmate from IIT-Kanpur, Prateesh Awasthi, they spent two years figuring out a way to control the arm.

That led them to launch their startup, Armatrix, in 2024, soon after they graduated. The co-founders secured an initial funding of $40,000 from Grad Capital, a Bengaluru-based student fund. They used it to build their first 1.5-m robotic arm prototype.

BROTHERS IN ARMS. Armatrix co-founders (from left) Vishrant Dave, Prateesh Awasthi, and Ayush Ranjan

The Bengaluru-based deep-tech robotics company is developing the snake-like hyper-redundant robotic manipulators to operate in hazardous and confined industrial environments.

The Armatrix arm is 3–5 m long and 50–150 mm in diameter, and with more than 22 degrees of freedom. This means it can thread through tight access points that rigid robotic systems cannot reach.

Since the motors are separate from the arm, the Armatrix robot can operate safely in most environments — including flammable, liquid, or high-temperature zones — unlike conventional intrinsic-actuation robotic arms with attached motors. The arm is guided by an AI-based control that enables real-time path planning in unpredictable environments, combined with digital twin simulation for pre-deployment modelling.

INDUSTRIAL USE

The potential applications include inspection and maintenance of critical industrial infrastructure across sectors: storage and fuel tanks (oil and gas); hulls of ships and planes (shipbuilding and aviation), and nuclear reactors, among others — all of which are confined and hazardous spaces for human personnel.

"All these heavy industries face access challenges in confined, hazardous spaces, where workers spend hours inspecting and performing tasks like welding or coating. Automation lagged in these environments because they require long, highly flexible manipulators spanning 3–4 m. That leaves a robotic arm as the only viable approach," Dave says.

The company is prioritising the shipbuilding and oil and gas sectors, with distinct business models for each. In oil and gas, it offers a robot-as-a-service (RaaS) model, given the recurring nature of annual inspections.

In contrast, shipbuilding requires year-round usage, making direct sales a more viable approach. The return on investment in the RaaS and inspection-as-a-service (IaaS) models depends on maximising the robotic arm's usage across multiple sites.

In February, Armatrix raised $2.1 million in a pre-seed funding round. It will use the money to develop its robotic arm technology, expand the engineering and R&D team, and accelerate pilot deployments across industrial customers.

Judging and backing early winners

bl.interview

Jyoti Banthia

Early-stage venture capital in India is maturing, with investors sharpening their focus on disciplined allocation, sector depth and long-term value creation. Anirudh A Damani, director at Artha India Ventures, says the firm's strategy is to back founders early while retaining the ability to double down on winners as they scale. In a conversation with *businessline*, he outlines the firm's investment philosophy, sectoral bets and approach to exits.

Edited excerpts:

How has Artha evolved as an investment platform over the years?

We manage over ₹2,400 crore in AUM (assets under management) today, but this has been a compounding journey rather than a step change. Each fund has built on the discipline and learnings of the previous one. Our first fund, at ₹225 crore, helped establish underwriting discipline and delivered over 5x TVPI (total value to paid-in capital) with strong IRR (internal rate of return) and real distributions. We have since added vehicles like the 'Select Fund' to double down on top-performing companies and 'Continuum' to bring in family offices. 'Venture Fund II' remains our core early-stage engine.

We look for founders who demonstrate early revenue traction and clarity on scaling up

ANIRUDH A DAMANI
Director, Artha India Ventures

What defines your investment thesis today?

Our thesis is simple — the strongest companies are built in constrained environments. We look for founders who demonstrate early revenue traction and clarity on scaling up. At a portfolio level, we start wide but concentrate aggressively. We deploy about 30 per cent of capital at entry and reserve nearly 70 per cent for follow-ons. This allows us to build meaningful ownership in companies that are actually working, rather than spreading ourselves too thin.

Which sectors are you bullish on currently?

Applied AI is a key focus area, particularly where it delivers measurable outcomes rather than being a superficial layer. Deep-tech is another area where India is seeing a shift from concept to execution, especially in space-tech and semiconductors. Fintech infrastructure also continues to evolve, with increasing sophistication in underwriting and compliance. On the consumer side, premiumisation is emerging as a structural trend.

How do you balance early-stage investing with follow-on capital?

Our core focus remains early-stage because that is where we can engage most meaningfully with founders. But continuity is equally important. Through our 'Select Fund' we continue to back companies as they move into Series B and C. The idea is to not lose exposure to our best-performing assets just as they begin to scale up. Early-stage investing is not about access — it is about judgement and follow-through.

What has been your experience with exits and investment horizon?

We have completed over 35 exits so far, and our view is that liquidity matters more than the format. Typically we see three exit windows — early exits if the thesis breaks; high-IRR exits around Series C; and long-term IPOs for companies that achieve institutional scale. Increasingly, we are seeing more portfolio companies reaching the 9– to 12-year mark, where public markets become a viable outcome.

DATA BANK.

Credit and deposit growth maintains momentum

Credit and deposits of scheduled commercial banks (SCBs) continued to grow in double digits during February, sustaining the credit demand expansion since the second half of 2025-26, according to the latest RBI monthly bulletin.

Credit growth stood at 14.5 per cent (year-on-year) as on February 28, as against 14.6 per cent as on January 31. SCBs' deposit growth turned out to be 11.9 per cent (y-o-y) as on February 28, as against 12.5 per cent as on January 31.

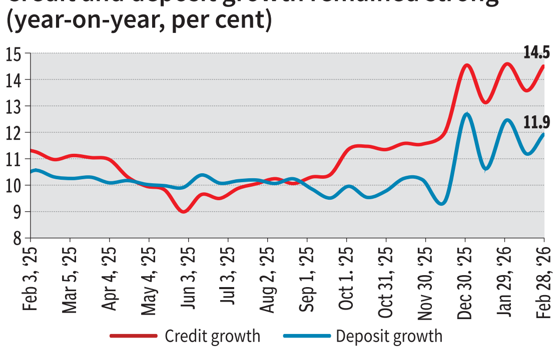
Along with bank credit, the finance from non-bank sources also expanded in 2025-26 (up to February 28). The total flow of financial resources to the commercial sector increased to ₹39.2 lakh crore from ₹29.5 lakh crore a year ago.

Non-bank sources — corporate bond issuances, and foreign direct investment to India (on net basis: gross inflows adjusted for repatriation/ disinvestment) — showed a marked increase during the year so far. As of February 28, the total outstanding credit to the commercial sector rose by 14.7 per cent, with non-bank sources registering a growth of 15.6 per cent.

In January, non-food bank credit growth was well spread across sectors, though some easing has been observed in agriculture and industry. Within industries, lending to micro, small and medium enterprises (MSMEs) continued to improve.

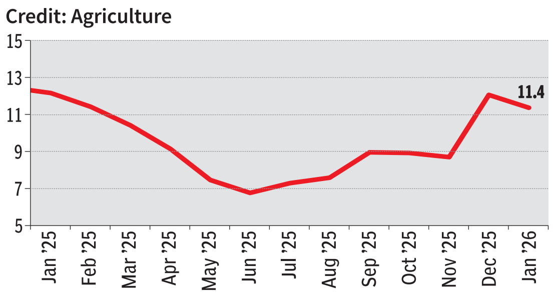
Services sector credit growth sustained its momentum, driven by robust bank lending to non-banking financial companies (NBFCs) and commercial real estate, despite a moderation in the growth of credit to trade and professional services segments. The growth in personal loans was led by housing, gold and vehicle segments.

Credit and deposit growth remained strong (year-on-year, per cent)

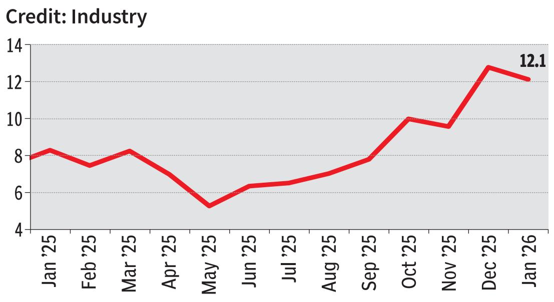


Bank credit growth remained steady (year-on-year, per cent)

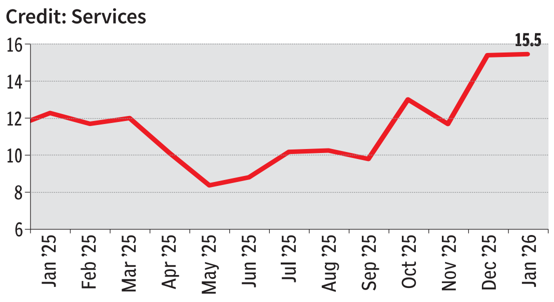
Credit: Agriculture



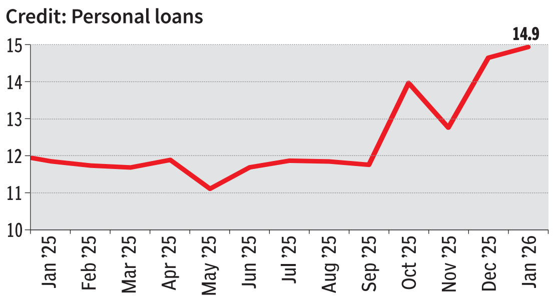
Credit: Industry



Credit: Services



Credit: Personal loans



Increased flow of financial resources to the commercial sector (₹lakh crore)

Source	April-March		Up to February 28	
	2023-24	2024-25	2024-25	2025-26P
A. Non-food bank credit	21.40	17.98	16.74	24.64
B. Non-bank sources (B1+B2)	12.64	17.10	12.72	14.58
B1. Domestic sources	10.20	13.86	9.70	10.31
B2. Foreign sources	2.43	3.25	3.01	4.28
C. Total flow of resources (A+B)	34.04	35.09	29.46	39.22

Higher outstanding credit to the commercial sector (₹lakh crore; figures in parentheses are y-o-y percentage changes)

Source	At end-March		As on February 28	
	2024	2025	2025	2026P
A. Non-food bank credit	164.09	182.07	180.83	206.71
	(20.2)	(11.0)	(11.1)	(14.3)
B. Non-bank sources (B1+B2)	77.57	88.86	85.37	98.70
	(4.2)	(14.6)	(13.7)	(15.6)
B1. Domestic sources	56.59	66.37	62.55	73.11
	(4.9)	(17.3)	(15.5)	(16.9)
B2. Foreign sources	20.98	22.49	22.82	25.59
	(2.4)	(7.2)	(9.2)	(12.2)
C. Total credit (A+B)	241.66	270.94	266.20	305.41
	(14.5)	(12.1)	(11.9)	(14.7)

Note: P: provisional; figures in the columns may not add up to the total due to rounding off of numbers

Source: RBI; SEBI; AIFIs; and RBI staff calculations

L'AFFAIRE HDFC

The curious case of a resignation

DIRECTOR'S CUT. The premature exit of a board member puts India's largest private bank under the lens like never before

K Ram Kumar

When Atanu Chakraborty, the part-time non-executive chairman of HDFC Bank, which is one of the three domestic systemically important banks (D-SIBs) in India, quit abruptly before the end of his tenure, it caused consternation among stakeholders — namely the bank's board, senior management team, employees, shareholders, and regulators.

The stock was hammered, with the market capitalisation of India's largest private sector bank cumulatively declining by ₹1,52,689 crore over three consecutive trading sessions — March 19–23.

Eyebrows were raised as the 1985-batch former IAS officer of Gujarat cadre, who last served as Secretary in the Department of Economic Affairs, Union Finance Ministry, in 2019-20, did not cite the usual "personal reasons" for the exit.

That Chakraborty handed in his resignation from a position that fetches ₹50 lakh per annum probably shows that something in him snapped. The perks include sitting fees, reimbursement of expenses for attending board meetings and a car for official and personal use.

The resignation letter, dated March 17, stirred a hornet's nest. Chakraborty flagged "certain happenings and practices within the bank, that I have observed over last two years, are not in congruence with my personal Values and Ethics".

The former chairman, whose tenure on the bank's board was up to May 4, 2027, also stated that the benefits of HDFC's merger with HDFC Bank in July 2023 are yet to fully fructify.

While Chakraborty, who took up the chairman's position with effect from May 5, 2021, did not elaborate on his allegation, it raises questions whether the issues he may have brought to the notice of the board were satisfactorily addressed. It also brings to fore the larger issue of shareholder protection in a bank which has no promoter.

A former director of a public sector bank emphasised that a bank's board has a supervisory role — providing strategic direction, oversight of management, risk management and regulatory compliance, and protecting depositor and shareholder interests. The management executes the vision set by the board.

LENDING GIANT. HDFC Bank is one of the three 'domestic systemically important banks' in India REUTERS

Keki M Mistry, Non-Executive (non-independent) Director

Atanu Chakraborty, former part-time non-executive chairman

Sashidhar Jagdishan, Managing Director and CEO

"However, strain in relationship can arise between the management and the board when the lines between operational and non-operational areas blur. Boardroom differences, if any, should be resolved amicably, without spilling into the open," he said.

HOT-BUTTON ISSUES

Now, speculation is rife that Chakraborty and MD and CEO Sashidhar Jagdishan, who took charge on October 27, 2020, were not on the same page over handling certain hot-button issues at the bank.

Reports suggest Chakraborty wanted a review of the bank chief's performance before recommending him for a third term and elevating a senior management executive to the board.

The hot-button issues include the RBI (in December 2020) asking the bank to temporarily stop all launches of the digital business generating activities planned under the Digital 2.0 programme and other proposed business generating IT applications; and sourcing of new credit card customers (these restrictions were lifted in 2022). There is also the monetary penalty of ₹1 crore for non-compliance with certain directions issued by RBI on 'interest rate on deposits' and 'recovery agents engaged by banks' (September 2024).

Further, SEBI (in December 2024) issued an administrative warning over non-compliance with certain provisions of the Merchant Bankers Regulations, Issue of Capital and Disclosure Requirements Regulations, and Prohibition of Insider Trading Regulations.

In September 2025, the Dubai Financial Services Authority prohibited the bank's Dubai International Financial Centre branch from soliciting or conducting any business with new clients; or soliciting, onboarding or engaging in any financial promotions with any new client.

In November 2025, the RBI fined the bank ₹91 lakh for adopting multiple benchmarks within the same loan category and outsourcing the verification of KYC norms compliance for certain customers.

DAMAGE CONTROL

Once Chakraborty's resignation reached Harsh Kumar Bhanwala, the Chairman of the bank's Governance, Nomination, Remuneration Committee, four directors (two whole-time and two independent) rushed to the RBI to seek the appointment of Keki Mistry, Non-Executive (non-independent) Director, as interim part-time Chairman for three months.

The bank's board downplayed the resignation. In an analyst call, Mistry, now interim Chairman, stressed that the bank operates with strong governance standards, internal controls, and an experienced management team. He said: "I would not have taken on this responsibility at the age of 71 if it did not align with my principles and the level of integrity that I would expect from the bank."

Mistry dismissed the prospect of a power struggle, saying, "The entire bank, the management team works as a cohesive unit and will continue to work as a cohesive unit."

Renu Karnad, Non-Executive (non-independent) Director, said: "In fact, we had repeatedly asked him (Chakraborty)... to tell us what had triggered this... but he said there was nothing and that was a bit baffling.

The RBI swung into action, issuing a statement that there were no material concerns as regards the bank's conduct or governance. It emphasised that the bank has sound financials, and remains well-capitalised with sufficient liquidity.

EXPERT VIEW

Legal expert and former investment banker Vijay Trimbak Gokhale emphasised that it would be naive to say that the hot-button issues may not have weighed on Chakraborty's mind while tendering his resignation.

Referring to the Companies Act, Gokhale observed that the director of any company is duty bound to act in good faith to promote the objects of the company and in the best interests of all stakeholders.

So, the former chairman has a fiduciary responsibility to stakeholders to inform the board and the regulator about his concerns over happenings and practices at the bank. "At the same time, the other board members cannot plead ignorance about gaps and lapses in the functioning of the bank," Gokhale said.

'TOO BIG TO FAIL'

Banking expert V Viswanathan opined that since D-SIBs are "too big to fail", the RBI should review its policy and consider having its nominees on their boards. "The role of RBI nominee directors can be confined to corporate governance; risk management policies; and internal audit and statutory audits overseen by the audit committee of the board," he said.

Where public shareholding exceeds 95 per cent or there are no promoter-directors on the board of a D-SIB, Viswanathan suggested that regulators could consider sector-wise nominees with regard to investments from insurance companies, mutual funds, pension funds, and so on.

"This will ensure that the policies are framed by the board and implemented by the top management," he said.

While the bank's board has approved the appointment of external law firms (domestic and international) to conduct a review regarding Chakraborty's resignation, experts say the RBI and SEBI need to conduct their own review into l'affaire HDFC.

Insuring the gift of longevity with dignity

As India's elderly population is set to surge by 2050, the time is now to build the financial backbone of a silver economy

SUMIT RAI

India is today among the top five major economies globally, powered by its demographic dividend. But retaining this advantage depends on how India prepares for the shifting population pyramid. India's elderly population, currently at 153 million, is expected to reach 347 million by 2050. The demographic dividend will, within decades, give way to a silver economy of unprecedented scale and India is structurally unprepared for it.

About 30 per cent of Indians today lack a health cover, and life insurance penetration is below the global average at 2.7 per cent of GDP. Pension coverage remains at about 8 per cent, with a retirement savings gap across emerging Asian markets estimated at $74 trillion. Without a robust financial, healthcare, and social infrastructure, India risks squandering the gift of longevity.

Japan faced this inflection point three decades ago. Today, Japan's silver economy is a significant contributor to GDP. Its transition was aided by a cultural orientation toward saving and long-term planning, which made the pivot more natural. India once shared this orientation — a society that valued frugality and building for the future. Over the past few decades, however, rising aspirations have tilted the balance toward consumption, often at the cost of long-term financial security.

HOLISTIC SECURITY. Insurance policies are evolving to support the quality of extended lifespans ISTOCK

A CULTURAL SHIFT

For generations, India's joint family system has been its unspoken social security. Parents live with their children, and the joint family absorbs the financial and care-giving burden. Filial duty is not only a cultural expectation but also social security infrastructure. Underlying this was a cultural orientation toward saving before spending, of building for the future rather than borrowing from it.

Both these pillars are eroding. As aspirations evolved, many joint households have fragmented into nuclear ones due to urbanisation and globalisation. Children live cities and continents away from their ageing parents. Women, long shouldering the responsibility of primary caregivers, are increasingly entering and excelling in the workforce.

Simultaneously, with consumption overtaking 'saving' as the default financial behaviour, the instinct to prepare for the long term has weakened. The informal systems that once supported ageing in India are no longer sufficient and what replaces them cannot be left to chance.

A STRUCTURAL VOID

Social security, as a concept, barely exists for the vast majority of Indians. Healthcare infrastructure for the elderly remains under-developed. Long-term care, whether institutional or home-based, is neither widely available nor affordable.

Singapore offers a great case study for India. With life expectancy exceeding 83 years, Singapore introduced CPF LIFE, a mandatory national annuity guaranteeing lifetime income for every retiree. It ensures savings are converted into sustainable income. India need not replicate Singapore's model, but it must recognise that a combination of public policy, institutional frameworks, and private financial instruments — working in coordination — is essential.

ROLE OF LIFE INSURANCE

Longevity planning demands that the life insurance sector play a much broader role. In fact, life insurance has been evolving beyond its traditional scope of insuring against end of life to enabling the quality of extended life. This entails annuity products that guarantee lifetime income, savings solutions that accumulate during working years and disburse systematically through retirement, and so on. The need is for holistic financial security through wellness-integrated policies that incentivise healthier ageing, long-term care riders that fund care-giving needs and much more.

This is not a peripheral opportunity. It is central to how India will navigate the demographic transition ahead. Life insurance reimagined for longevity can be the financial backbone of a functioning silver economy, filling gaps that neither family structures nor public systems currently address.

India has added about 30 years to the average lifespan since independence. This is an asset that needs to be planned for and nurtured with the same seriousness we bring to education, careers, and home ownership. We have 15–20 years before the ageing wave reshapes our economy and society. The choices made now in policy, in products, and in cultural imagination will determine whether those added years are lived with dignity or anxiety. We have earned these decades. The question is whether we are ready to receive them.

The writer is MD and CEO, Edelweiss Life Insurance

QUICKLY.

CMS Info to acquire FSS arm for up to ₹115 crore

Bengaluru: Business services firm CMS Info Systems has announced the acquisition of the ATM-managed services business of Financial Software and Systems Pvt Ltd (FSS) for a purchase consideration of up to ₹115 crore. The transaction includes the transfer of operating assets and the novation of customer contracts, the company said in a statement. The deal is expected to be completed in the first quarter of FY27. OUR BUREAU

Two more Indian LPG tankers cross Hormuz

New Delhi: Two more Indian-flagged LPG tankers have safely navigated through the war-hit Strait of Hormuz and are expected to reach Indian shores in two days. "Two LPG carriers, *BW TYR* and *BW ELM*, carrying a combined LPG cargo of about 94,000 tonnes, have safely transited the region and are moving towards Indian shores," an official statement said. PTI

PMO directs Transport Ministry to revise CAFE-2 norm penalties

THE NEW MATH. The mechanism aims to reduce total fines from as much as ₹8,800 crore to ₹2,700 crore

S Ronendra Singh
New Delhi

In a significant development, the Prime Minister's Office (PMO) has asked the Ministry of Road Transport and Highways (MoRTH), and Ministry of Power (MoP) to work on a new mechanism for collecting penalties from carmakers under the CAFE-2 norms for FY23 to FY25.

According to sources, there is a recalculation of the penalties too, which comes to a total of around ₹2,700 crore now, from the previous calculation of around ₹8,800 crore.

As per earlier calculations, the penalty was fixed at ₹10 lakh plus ₹25,000 per units manufactured if non-compliance of norms below 0.2 litres per 100 km and ₹50,000/car for violation beyond 0.2 litres/100km.

But under the new calculation for April-December 2022-23, the penalty has been fixed to only ₹0.375 as standard for all OEMs, hence the difference in the amount.

FRESH TIMELINE. The CAFE-3 standards are supposed to kick off from April 1, 2027 until March 31, 2032

HYUNDAI LEADS

Under the Corporate Average Fuel Efficiency (CAFE-2), Hyundai Motor India (HMIL) has the maximum number of penalties going up to around ₹3,000 crore, followed by Mahindra & Mahindra (M&M) at around ₹1,800 crore and Kia India at around ₹1,350 crore.

However, with the new calculation method, HMIL's penalties under CAFE-2 come to a total of around ₹355 crore, and M&M's at ₹224 crore and Kia's at ₹337 crore.

But, for companies like Honda Cars India, the total penalties has been raised to ₹885 crore from ₹458 crore earlier and Renault India at ₹505 crore from earlier ₹438 crore.

In a meeting held last week with Secretaries of MoRTH, MoP, Ministry of Heavy Industries, Ministry of Petroleum and Natural Gas, Principal Secretary-2 to Prime Minister, Shaktikanta Das has also suggested that they fast track the process so that a final proposal on CAFE-3 can go the Prime Minister.

IMMEDIATE TRIGGER

In an earlier meeting, these Ministries failed to arrive at a clear accountability framework and the immediate trigger was a pointed query from Das on who imposed the penalties, who approved them, and crucially, who is responsible for recovering them.

"In this meeting also, the main discussions were around past penalties (of CAFE-2) and how to recover them from the OEMs. The Principal Secretary-2 has told all the Secretaries of the concerned Ministries to get clarity among themselves too and come with a final consensus in the next meeting," a source told *businessline*.

The official said that it has been decided that Ministry of Road Transport and Highways will prepare a procedure to recover the penalties, and under that procedure Bureau of Energy Efficiency (BEE, under the Ministry of Power) will send the notices to the OEMs.

FAST TRACK

The CAFE-3 standards are supposed to kick off from April 1, 2027 until March 31, 2032, and while companies including Maruti Suzuki India, Toyota Kirloskar Motor, Honda Cars India and Renault India are on one side supporting small cars, others including Tata Motors, Mahindra & Mahindra, Hyundai Motor India, Kia India, etc are supporting weight cut for the bigger vehicles in the norms.

Blackstone-backed EPL, Indovida ink deal to create $2 b firm

Our Bureau
Mumbai

Blackstone-backed packaging firm EPL Ltd and Indorama Ventures' Indovida India have signed definitive agreements to merge, in a deal that will create a $1 billion revenue consumer packaging platform focused on emerging markets, with a combined valuation of about $2 billion.

The proposed merger, approved by the boards of both companies, will bring together EPL's flexible packaging capabilities with Indovida's rigid PET packaging portfolio, creating a multi-format packaging player with a wider global footprint and stronger growth prospects.

The transaction is expected to close over the next 12 months. Under the deal, EPL is valued at around $1.2 billion, implying a price of ₹339 per share — about 70 per cent higher than its previous closing price — while Indovida is valued at roughly $0.7 billion, at a 35 per cent discount to EPL's valuation multiple.

Post-merger, Indorama Ventures will emerge as the promoter with a 51.8 per cent stake, while Blackstone will hold 16.6 per cent in the combined entity.

EMERGING MARKETS

The merged company will derive nearly 75 per cent of its revenue from emerging markets, leveraging complementary geographic presence across Asia, Africa and Latin America.

The combination is expected to drive growth through cross-selling opportunities, improved procurement and supply chain efficiencies, and enhanced sustainability initiatives.Financially, the merger is projected to be margin and return accretive. The combined entity's EBIT margin for 2025 is expected to expand to 13.6 per cent from EPL's standalone 12.4 per cent, while return on capital employed is seen improving to 20.9 per cent from 18.7 per cent. The transaction is also expected to be earnings per share accretive from the first year.

The merged company will derive nearly 75 per cent of its revenue from emerging markets

REVENUE BOOST

"The size of our business, both in terms of revenue and bottomline doubles with this transaction," EPL's Managing Director and Global CEO Hemant Bakshi, who will lead the merged entity, told *businessline*.

"Overall, it gets us new emerging markets. It helps us get into a new format of rigid packaging, which has a TAM (total addressable market) of $100 billion. And thirdly, it helps us leverage the capabilities which the Indovida business has, to build innovations and become an innovation partner," he added.

The aim is to build a consumer packaging leader in the emerging markets, he said. Currently 90 per cent of Indovida's business is from emerging markets. Bakshi estimated combined cost and revenue synergies of the merger at $35-50 million, with cost synergies alone at $5-7 million.

Indovida CEO Sunil Marwah will continue to head the Indovida business and report to Bakshi.

'In a shift back to Russian oil, India bought 60 m barrels since March 5'

Rishi Ranjan Kala
New Delhi

Indian refiners shifted back to Russian crude oil buying around 60 million barrels of the geopolitically sensitive commodity from Moscow since March 5 as closure of the Strait of Hormuz impacted 40 per cent of its imports.

The Oxford Institute for Energy Studies (OIES) in its recent energy comment pointed out the scale of the Hormuz disruption is like "no other seen in oil market history". In such a scenario, one of the US tools to help put a lid on crude oil prices has been granting exemptions on sanctioned barrels.

Russia has been a clear beneficiary of this measure, OIES pointed out.

SUPPLY CHAIN

Before the war, pressure was building on the Russian oil supply chain. US sanctions against Rosneft and Lukoil in November 2025 drove India to reduce its reliance on Russian urals, pivoting instead to greater West Asia term volumes. A full pivot has been made back to Russian oil, the OIES said.

"Indian refiners have bought up around 60 million barrels of Russian crude since the US issued a sanctions waiver on 5 March. The US reprieve on Russian oil has led to a major repricing of urals and ESPO in the physical market with reports indicating that these have traded at premiums to their benchmarks," it added.

US SANCTIONS

India's importance as a key distillate swing supplier further increases the likelihood that India's compliance with US sanctions on Russia going forward could ease.

As Hormuz disruption persisted, the market shifted to a new phase: the conversion of flow disruptions into large production losses

Asian countries outside China are highly exposed to the flow disruption from the Hormuz both in terms of availability of crude and products supplies and higher prices, OIES said. For countries such as India and Japan, it added that crude imports through the Strait of Hormuz stood at above 40 per cent and 70 per cent, respectively. For India, the LPG and ethane exposure stand at above 80 per cent while for Japan, the naphtha exposure is around 70 per cent.

The oil market has been reacting in phases as new information continues to emerge. In the initial stage, the focus has been centred on the disruption of oil trade flows through Hormuz with a prevailing view that the disruption will be short-lived and that the existing 'oil glut' will provide an effective cushion. As the disruption to Hormuz persisted, the market shifted into a new phase: the conversion of flow disruptions into large production losses, OIES said.

"At the current stage, with no clear visibility as to when trade will resume through the Strait of Hormuz, the market is not only assessing whether output losses could worsen but also how quickly production and refinery runs could recover in the light of the shut ins and damage to physical infrastructure," OIES said.

Iran warns US over invasion as efforts to end war gain pace

Press Trust of India
Dubai

A top Iranian official warned the US against a ground invasion, saying American troops would be set "on fire", as regional diplomats gathered in Pakistan on Sunday in a push to broker an end to the month-long war.

Iran's parliament speaker, Mohammad Bagher Qalibaf, dismissed weekend talks as a cover while the US dispatches additional troops to West Asia.

He said Iran was prepared to confront any American forces on its soil and would respond harshly against both US troops and Washington's regional allies, according to Iranian state media.

GROWING HOSTILITIES. Smoke rises following an Iranian missile strike in southern Israel REUTERS

PEACE TALKS

The remarks came as Pakistan said the foreign ministers of Saudi Arabia, Turkey and Egypt were holding talks in Islamabad without US or Israeli participation.

Pakistani Prime Minister Shehbaz Sharif earlier said he and Iranian President Masoud Pezeshkian had held "extensive discussions" on the regional hostilities.

Egypt's Badr Abdelatty, Turkey's Hakan Fidan and Saudi Arabia's Prince Faisal Bin Farhan were in Islamabad as part of talks scheduled days after the US offered Iran a 15-point "action list" as a framework for a possible peace deal. Abdelatty said the meetings were aimed at opening a "direct dialogue" between the US and Iran, which have largely communicated through mediators during the war.

During the talks, Iran has eased some restrictions on commercial ships passing through the Strait of Hormuz. It agreed to allow 20 more Pakistani-flagged vessels to transit the critical passageway, Pakistani officials said, adding to the select few it has let through as Iran works to choke but not cut off the strait entirely.

Yet there were few signs of progress as Israel and the US kept up strikes on Iran, and Tehran responded by firing missiles and drones across the region. More than 3,000 people have been killed throughout the month-long war that began with US and Israeli strikes on Iran, triggering Iran's attacks on Israel and neighbouring Gulf Arab states.

Meanwhile, Israel announced waves of incoming strikes from Iran on Sunday, and explosions could be heard throughout Tehran.

The weekend provided little sign of the talks narrowing the disconnect between the US and Iran.

INFLEXION POINT

US officials have insisted the war may be nearing an inflexion point, but Iranian leaders continue to publicly reject negotiations.

To the contrary, the US has dispatched thousands of additional Marines and paratroopers to the region. And the Iran-backed Houthis, who govern parts of Yemen, announced their long-awaited entry into the war, launching missiles toward what they called "sensitive Israeli military sites" for the first time on Saturday.

Despite the deployments, US Secretary of State Marco Rubio said that Washington "can achieve all of our objectives without ground troops" as domestic opposition grows to expanding the war to a potential ground invasion, including among Republicans.

Iran on Sunday warned of additional escalation after Israeli airstrikes hit several universities, including ones that Israel claimed were used for nuclear research and development.

The paramilitary Revolutionary Guard warned in a statement that Iran would consider Israeli universities and branches of American universities in the region "legitimate targets" unless offered safety assurances for Iranian universities, state media reported.

It also demanded that the US stop Israel from striking Iranian universities and research centres.

SEBI panel clears revised common application form for FPI onboarding

Akshata Gorde
Mumbai

India's foreign portfolio investor (FPI) onboarding framework is set for a revision, with changes to the common application form (CAF) likely to be introduced to align with the new permanent account number (PAN) application regime coming into force from April 1, according to sources.

The move follows the notification of revised PAN application Forms 95 and 96 by the Income Tax Department under the new Income-Tax Rules, 2026, replacing the existing forms used by foreign investors to obtain a PAN.

"A SEBI working group has finalised the changes to the CAF. The changes are expected to be brought in through a gazette notification soon," a source said.

Apart from changes required to reflect the new PAN framework, the revised CAF also incorporates suggestions from the Custodians and DDP Standards Setting Forum, sources said.

The CAF serves as a single-window document for FPIs, integrating registration with the Securities and Exchange Board of India (SEBI), PAN allotment, and the opening of bank and demat accounts.

Introduced to streamline market entry, it consolidated multiple regulatory and procedural requirements into a unified onboarding framework.

TRANSITION WINDOW

While the tax changes take effect from April 1, there is no formal transition window in place for the revised CAF.

TVS pips Ola to lead e2W market in FY26 ; Bajaj, Ather follow

Amit Vijay Mohile
Mumbai

TVS Motor Company has emerged as the market leader in India's electric two-wheeler segment for FY26 with sales of around 330,145 units, followed by Bajaj Auto at 276,518 units and Ather Energy at 229,565 units, according to Vahan data seen by *businessline*.

India's electric two-wheeler retail segment grew 17.3 per cent year-on-year to 1.35 million units in FY26 (as of March 29) and is bracing up to close near the 1.5 million mark by the end of the fiscal, up from around 1.1 million units recorded in FY25.

This realignment comes as the overall E2W retail segment grew 17.3 per cent y-o-y to 1.35 million units, a trajectory set to close near the 1.5 million mark by the fiscal end, a significant leap from the 1.1 million units recorded in FY25.

TVS's ascent is not just about rank as it marks a structural turning point. With nearly 39 per cent growth, it has crossed the three lakh annual sales milestone, becoming only the second company after Ola Electric to achieve this.

ELECTRIC MOBILITY

"The modern Indian buyer is no longer experimenting with electric mobility; they are replacing their internal combustion engines with platforms that offer a seamless transition into the commuter segment," informed a top analyst at a global consulting house.

The new top tier, TVS, Bajaj and Ather, reflects a clear shift in consumer behaviour. The market has pivoted toward "family mobility", where reliability, comfort, and practicality outweigh performance-led positioning. Products such as TVS's iQube, Bajaj's Chetak, and Ather's Rizta are now contributing nearly 70 per cent of overall sales, highlighting how EV adoption is moving into the mainstream commuter segment with buyers no longer experimenting; they are replacing.

New market leader

	FY25	FY26 (Apr-Till date)
TVS Motor Company	2,37,929	3,30,145
Bajaj Auto	2,31,171	2,76,518
Ather Energy	1,31,172	2,29,565
Ola Electric Technologies	3,44,299	1,60,558
Hero MotoCorp	48,736	1,38,558
Greaves Electric Mobility	40,169	58,971

Source: VAHAN

FY26 marks a decisive reversal in market structure. Legacy players have outpaced start-ups, backed by stronger distribution networks, service depth, and supply chain control.

Hero MotoCorp emerged as the fastest-scaling large player, with its Vida volumes leaping 184 per cent to 138,558 units, while even Honda began its climb, seeing its numbers ignite from a base of just 201 units in FY25 to 3,802 units this year, while Greaves Electric (Ampere) also posted steady gains. Even Honda, albeit on a small base, has begun to scale up.

Start-ups, meanwhile, are diverging. Ather Energy stands out with 75 per cent growth, successfully expanding beyond its premium niche. River Mobility has emerged as a breakout player, growing over 400 per cent by targeting a utility-focused segment. Beyond these, several early entrants have lost momentum, pointing to a market where scale is becoming harder to sustain without operational depth.

The sharpest shift came from Ola Electric, whose volumes fell more than 53 per cent to 160,558 units from over 3.44 lakh units in FY25.

The decline, driven by service-related challenges and supply constraints, triggered a sharp loss of market share and redistributed demand across rivals. BGauss Auto reported a 43 per cent year-on-year growth in FY26, with volumes rising to 24,816 units from 17,343 units in FY25.

"The market is clearly moving beyond early adopters to more practical and that is where we are seeing strong traction," said Hemant Kabra, Founder and Managing Director, BGauss. "As the ecosystem matures, consistency in product performance and after-sales support will be key differentiators."

Kinetic Green reported a 35 per cent increase in volumes to 11,414 units, while Pur Energy grew 58 per cent to 14,226 units.

Newer entrants such as Simple Energy also saw strong traction, scaling nearly fourfold to 7,709 units.

SOLID GROWTH

Even as the market consolidates, growth remains strong. CRISIL expects electric two-wheeler volumes to grow 20-22 per cent in FY27, reaching 1.3-1.8 million units, significantly outpacing the 4-6 per cent growth projected for ICE two-wheelers.